YOU ARE ADVISED TO READ AND UNDERSTAND THE CONTENTS OF THE PROSPECTUS BEFORE SUBSCRIBING PLEASE CONSULT YOUR STOCKBROKER, SOLICITOR, BANKER OR INDEPNDENT INVESTMENT ADVISER, REGISTERED BY THE SECURITIES AND EXCHANGE COMMISSION. THIS ABRIDGED PROSPECTUS HAS BEEN SEEN AND APPROVED BY THE DIRECTORS OF PAC ASSET MANAGEMENT LIMITED AND THEY JOINTLY AND INDIVIDUALLY ACCEPT FULL RESPONSIBILITY FOR THE ACCURACY OF ALL INFORMATION GIVEN AND CONFIRM THAT, AFTER HAVING MADE ALL ENQUIRIES WHICH ARE REASONABLE IN THE CIRCUMSTANCES, AND TO THE BEST OF THEIR KNOWLEDGE AND BELIEF, THERE ARE NO OTHER FACTS, THE OMISSION OF WHICH WOULD MAKE ANY STATEMENT HEREIN MISLEADING.

"FOR INFORMATION CONCERNING CERTAIN RISK FACTORS WHICH SHOULD BE CONSIDERED BY PROSPECTIVE INVESTORS, PLEASE REFER TO "RISK FACTORS" ON PAGE 10

Abridged Particulars of the Prospectus

PACAM BALANCED FUND

Offer for Subscription
of

1,000,000,000

Units of ₦1.00 each
At Par

Payable in full on Application

Fund Manager

Lead Issuing House

Joint Issuing House

APPLICATION LIST OPENS: WEDNESDAY, FEBRUARY 4, 2015
APPLICATION LIST CLOSES: FRIDAY, MARCH 13, 2015

THIS ABRIDGED PROSPECTUS AND THE UNITS WHICH IT OFFERS HAVE BEEN REGISTERED BY THE SECURITIES & EXCHANGE COMMISSION. THE INVESTMENT AND SECURITIES ACT 2007 PROVIDES FOR CIVIL AND CRIMINAL LIABILITIES FOR THE ISSUE OF A PROSPECTUS WHICH CONTAINS FALSE OR MISLEADING INFORMATION. REGISTRATION OF THIS ABRIDGED PROSPECTUS AND THE UNITS WHICH IT OFFERS DOES NOT RELIEVE THE PARTIES FROM ANY LIABILITY ARISING UNDER THE ACT FOR FALSE OR MISLEADING STATEMENTS CONTAINED OR FOR ANY OMISSION OF A MATERIAL FACT IN THE PROSPECTUS

This Abridged Prospectus is dated January 27, 2015

SUMMARY OF THE OFFER

The following information should be read in conjunction with the full text of the Prospectus, from which it was derived. INVESTORS ARE ADVISED TO SEEK INFORMATION ON THE FEES AND CHARGES BEFORE INVESTING IN THE FUND.

FUND MANAGER:	PAC Asset Management Limited ("PACAM" or "the Company")
LEAD ISSUING HOUSE:	LeadCapital Plc
JOINT ISSUING HOUSE:	PanAfrican Capital Plc
TRUSTEES TO THE FUND:	FBN Trustees Limited
THE OFFER	1,000,000,000 Units of ₦1.00 each in the Fund
METHOD OF THE OFFER:	Offer for Subscription
NATURE OF THE FUND:	The Fund is an Open-ended Balanced Fund and will invest in a mix of instruments across four asset classes and target allocations as follows; Equities (up to 40%), Bonds (up to 15%), Money market (up to 15%) and Real Estate (up to 30%). As an Open-ended Fund, the fund will be open to investors for subscription through the Fund Manager after the full subscription of the initial 1,000,000,000 units issued. As a result, the Fund Manager will issue additional units when required, with the consent of the Trustees, subject to the registration and approval of the Units to be offered by the Commission. The Fund will seek to achieve an efficient balance between capital appreciation and income for investors with modest risk appetite.
UNITS OF SALE:	Minimum of 50,000 Units and multiples of 10,000 Units thereafter.
OFFER PRICE:	₦1.00 per Unit
OFFER SIZE:	₦1,000,000,000.00
PAYMENT TERMS:	In full on Application
MANDATORY SUBSCRIPTION:	5% of the Offer will be subscribed to by PAC Asset Management Limited in compliance with current regulations issued by the Commission that the promoters of unit trust schemes in Nigeria must subscribe to a minimum of 5% of the initial issue of such Schemes and hold such units throughout the life of the Fund.
OPENING DATE:	Wednesday, February 4, 2015
CLOSING DATE:	Friday, March 13, 2015
REDEMPTION:	Redemption will be paid within 5 working days after the relevant documents have been submitted to the Fund Manager. Minimum permissible holding after redemption is 10,000 units or such balance as advised by the Manager from time to time. Redemptions within 90 days from the date of subscription for Units will attract a fee in an amount equal to 10% of the positive total return of the Units being redeemed on the day of redemption.

SUMMARY OF THE OFFER

DIVIDEND PAYMENT: Dividend as declared shall be distributed electronically within 7 working days after SEC's approval of the Fund's financial results.. The first financial year end will coincide with the expiration of 365 days after SEC approval of the allotment of this Offer.

RE-INVESTMENT OPTIONS: Investors may, either at the time of subscription for Units or any time thereafter by written notice to the Manager, elect to receive dividend payments or opt for reinvestment of such dividends.

FORECAST OFFER STATISTICS:
(Extracted from the Reporting Accountants Report)

Year Ending 31st December	2015 N'000	2016 N'000	2017 N'000	2018 N'000
Opening Net Asset Value	970,058	996,527	1,129,731	1,279,669
Gross Income	192,503	215,202	241,987	274,112
Net Additional Investments during the Year	-	97,006	109,353	123,908
Less Operating Expenses	47,253	19,666	22,586	25,304
Less: Taxation	12,902	14,544	16,480	18,668
Less: Dividend Payments	105,878	144,794	168,337	184,112
Closing Net Asset Value	996,527	1,129,731	1,227,669	1,449,605

STATUS: The Units qualify as securities in which Trustees may invest under the Trustee Investment Act Cap T22 Laws of the Federation of Nigeria 2004.

USE OF PROCEEDS: The Offer proceeds would be invested across diversified liquid securities in accordance with the Asset Allocation Framework below:

Asset Allocation		
Asset Class	Asset Allocation Range	Target Weighting
	%	%
Equities	30 - 55	40
Money Market	10 - 25	15
Bonds	10 - 25	15
Real Estate	25 - 35	30

SUMMARY OF THE OFFER

OVERSUBSCRIPTION:	Any oversubscribed portion would be absorbed, subject to the approval of the Commission and registration of the additional units herein.
CUSTODIAN:	United Bank for Africa Plc (Global Investor Services Division) has been appointed as the Custodian to the Fund.
QUOTATION:	Application will be made to The Council of The Nigerian Stock Exchange ("The Exchange") for the admission to its Memorandum List of the 1,000,000,000 units of The PACAM Balanced Fund.
UNDERWRITING:	At the instance of the Issuer, this Offer will not be underwritten

CORPORATE DIRECTORY OF SPONSOR AND FUND MANAGER

SPONSOR AND FUND MANAGER	PAC Asset Management Limited 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria Telephone: 01-2716896 Email: info@pacassetmanagement.com Website: www.pacassetmanagement.com
DIRECTORS OF THE FUND MANAGER	Chris Oshiafi – Chairman 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria Sina Alimi – Director 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria Emeka Akwuaka - Company Secretary 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria David Okwuadigbo-Managing Director/CEO 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria
PRINCIPAL OFFICERS	Sina Alimi Emeka Akwuaka David Okwuadigbo Bamidele Ige Andrew Akinduro
INVESTMENT COMMITTEE MEMBERS	Sam Onunkwe - Independent Member Sina Alimi Bamidele Ige Andrew Akinduro Douglas Okojie Amedu Braimoh-Representative of Trustee
FINANCIAL SUMMARY	The historical financial summary for PAC Asset Management Limited is provided on page 32-33 of the Prospectus.

PROFESSIONAL PARTIES TO THE OFFER

LEAD ISSUING HOUSE	LeadCapital Plc Plot 281, Ajose Adeogun Street Victoria Island Lagos
JOINT ISSUING HOUSE	PanAfrican Capital Plc 8A Elsie Femi Pearse Street, Victoria Island, Lagos
STOCKBROKER TO THE OFFER	PAC Securities Limited 8A Elsie Femi Pearse Street, Off Adeola Odeku Street, Idejo, Victoria Island, Lagos
TRUSTEES TO THE FUND	FBN Trustees Limited 16 Keffi Street, Off Awolowo Road Ikoyi Lagos
SOLICITORS TO THE TRUSTEES	G. Elias & Co 6, Broad Street Lagos
SOLICITORS TO THE FUND	Alliance Law Firm 71 Ademola Street, Off Awolowo Road Ikoyi, Lagos
REPORTING ACCOUNTANTS	Alatta Nzewi Oyeka & Co No 1, Oyediran Street, Off Bode Thomas, Surulere, Lagos
REGISTRAR	Meristem Registrars Limited 213 Herbert Macaulay Way Adekunle, Yaba Lagos
CUSTODIAN	United Bank for Africa Plc (Global Investor Services Division) UBA House (12th Floor) 57 Marina, Lagos
RECEIVING BANKERS	Access Bank Plc Idejo Branch Victoria Island, Lagos Unity Bank Plc 290A Akin Olugbade Street, Victoria Island Lagos

INFORMATION ON THE FUND

Introduction of the Fund

The PACAM Balanced Fund is an open ended fund authorized and registered in Nigeria as a Unit Trust Scheme under Section 160 of the Investment and Securities Act. The Fund is governed by a Trust deed with FBN Trustees Limited as Trustees to the Fund. The Fund is offering 1,000,000,000 units as the initial subscription to the public.

The Investment Objectives of the Fund

The primary objective of the Fund is to achieve long term capital appreciation, capital preservation as well as providing a stable stream of income to investors by investing the Fund's assets across a mix of:

- High quality listed equities on the NSE,
- Bonds with investment grade rating
- Money Market instrument
- Real Estate Assets in Nigeria.

The Fund Manager shall seek to achieve the objective within an acceptable level of investment risk.

Investment Strategies

The Fund Manager strictly adheres to the 'Prudent Man' rule in making its investment decisions and will bring that to bear in managing the fund. This rule requires that person(s) charged with the responsibility of making investment decisions on behalf of others should act with prudence, discretion, intelligence and regard for safety of capital as well as income. It will adopt a bottom up approach that will examine the fundamentals of securities in which it will invest in. It will also conduct due diligence on proposed real estate investments. It will make investments in securities and assets only where it sees significant discount to intrinsic value. The Fund Manager will also follow an active approach in managing its portfolio of shorter term securities and assets.

The Fund Manager's investment process shall include the following:

Security selection

The different asset classes to be included in the fund's portfolio have peculiar measures of fundamental value. These measures will be identified and evaluated before securities are included in the fund portfolio.

Every asset class shall be analysed by the portfolio managers in order to determine appropriate positions to be taken within the asset class. These views will be based on a rigorous investment process, asset class and investment style to best capture prevailing market conditions. The Fund Manager will ensure that risk control is optimised to fit within the aggregate portfolio risk in a way which provides the optimal return for minimal risk.

Portfolio construction

The portfolio is constructed in line with the guidelines jointly provided by the Investment Committee and the Trustee. The Fund Manager has the responsibility to monitor the performance of the Fund with specific emphasis on risk optimisation.

Pending full investment in accordance with the Fund's investment policy, the net proceeds may be held in short term money market instruments and money market funds.

Asset Allocation Strategy

The fund manager has established target weightings of asset classes aimed at achieving the long term investment objectives of the fund. These target weightings fall within asset allocation bands for each asset class which has been provided to absorb the effects of shocks in the market and to provide flexibility of allocation to the fund manager.

Asset Class	Asset Allocation Range	Target Weighting
	%	%
Equities	30 – 55	40
Money Market	10 – 25	15
Bonds	10 – 25	15
Real Estate	25 – 35	30

It is the duty of the Fund Manager to ensure that the Fund's Assets are allocated in consonance with the Asset Allocation Framework in its bid to achieve the Funds objectives. The Asset Allocation Framework is based on the principle that specific asset classes have different investment characteristics and, as such, the fund's assets must be diversified to optimize the primary objective of the fund.

The Fund Manager will hold varying amounts of cash in the normal course of managing the Fund, but not exceeding 5%.

Investment Policy

The fund will invest in equity securities based on fundamental valuation and within a universe of securities specified by the Investment Committee. Investment targets will be securities that have greater intrinsic values than their trading prices. The equities portfolio will not mirror a particular benchmark.

The Fixed Income portfolio will be divided into Money Market and Bonds. The motive for fixed income element of the portfolio is a combination of portfolio stability and liquidity for transactionary motives. Money market will be kept at a minimum to ensure that the portfolio is not sub-optimized. The entirety of the real estate portfolio will be focused on investments in traded real estate companies, REITS and other real estate traded vehicles.

Investment Committee

The Investment Committee shall meet to review the performance of the Fund periodically. The Committee's responsibilities shall include among others the following stated below:

- Oversight of the Fund's investment management activities.
- Ensuring adherence to the Fund's investment policy as set out in the Trust Deed and other statutory regulations.
- Ensuring adherence to Fund's policy guidelines and asset allocation strategies.
- Monitoring the investment performance of the Fund by reviewing the investment risks and the investment returns of the Fund's assets.

The Investment Committee shall consist of the following:

- Sam Onunkwe - Independent Member
- Sina Alimi - Director, PAC Asset Management Limited
- Andrew Akinduro- Financial Controller, Pac Asset Management Limited
- Douglas Okojie - Head of Compliance, PAC Asset Management Limited
- Bamidele Ige - Portfolio Manager
- Amedu Braimoh - Representative of Trustee

INFORMATION ON THE FUND

Investment Management

The PACAM Balanced Fund shall be managed by a team of professional portfolio managers, whose responsibilities to the Fund among others shall be as follows:

- Exercise due diligence and care in deploying the Fund's assets.
- Apply investment discretion in the decision to buy, hold, or sell the Fund's assets in accordance with the investment objectives and asset allocation framework. This shall include the maintenance of adequate cash levels to meet redemption obligations.
- Achieve best execution on all transactions raised on behalf of the Fund.
- Undertake such other responsibilities as stated in the Trust Deed, ISA and the Rules and Regulations made pursuant to the ISA ("SEC Rules").

Investment Discretion

The Fund's assets shall be invested at the discretion of the Fund Manager in accordance with the Trust Deed, the objectives and asset allocation framework of the Fund. The Fund Manager shall be responsible for all the decisions regarding the investment strategies, types, amounts and timing of the investments to be undertaken by the Fund.

The investment strategy shall be reviewed periodically by the Fund Manager in light of prevailing market conditions and reviewed accordingly in the best interest of the Fund.

Rebalancing Policy

The Fund Manager shall take necessary steps to ensure that the asset allocation of the Fund is in line with the requirements of the investment policy. This shall include periodic review and, as a result, actions to rebalance the portfolio.

Target Investors

The Fund is targeted at investors with medium to long term investment perspective who seek diversification as a means of portfolio optimisation. As an open-ended collective investment scheme, the Fund encourages periodic contributions and may present a higher rate of return than other similar collective investment schemes because of its size and underlying assets.

The Fund would be attractive to investors who desire a regular stream of income and capital appreciation, as the Fund is structured to pay dividend annually.

High Net worth Individuals and Institutional clients who desire steady returns with moderate risk appetite can also take advantage of the potentially attractive return that the Fund offers.

The Fund is open to individuals (irrespective of nationality), institutions, entities, firms, societies and employee schemes amongst others. The Fund accepts participation of foreign and non-resident investors.

Foreign Currency Investors

The Fund assets shall be denominated in Naira. Therefore subscription by foreign investors to the Fund shall be converted to Naira at the exchange rate as advised by the Fund Manager's Bankers. Certificates of Capital Importation (CCI) shall be issued by the Fund Manager's Bankers for Foreign investors as evidence of capital inflow into the country, and this shall be kept by the foreign investor or by the Custodian to the Fund at the investor's instance. This certificate will accord the investor the opportunity of capital and dividend repatriation at the official market rate.

Investment Incentives

The Fund presents an opportunity to earn steady returns at minimum risk levels through an efficiently diversified portfolio of Equities, Fixed Income and Real Estate assets. In addition, the Fund offers full advantage of tax incentives offered by the Nigerian Tax Laws with respect to unit trust schemes. Baring any tax law changes, Unit Trust Schemes are not subject to company income tax in Nigeria, thereby maximising the after tax return of investors.

The Fund offers an opportunity to subscribe for Units on behalf of and in the name of minors. Also, with the pooling of funds, the Fund presents the advantage of enhanced bargaining powers in the financial market such as minimised transaction costs and weight of money market bids.

Investment Restrictions

The Fund shall invest strictly in accordance with the ISA, SEC Rules and other applicable laws as stated in the Trust Deed and as approved by the Commission. In addition, the Fund Manager shall take investment decisions within the prescriptions of the investment Framework of the Fund as approved by the Investment Committee in a bid to achieve the Fund's objective. The following restrictions will, however, apply:

- Investments shall be made for trading purposes only and shall not be intended for the purpose of exercising control over the management or operating policies of issuers of securities held.
- The Fund shall not advance loans except that it may buy and hold qualifying debt instruments in accordance with its mandate.
- The Fund will not purchase securities on margin or engage in short sales of securities;
- The Fund Manager shall not invest more than 10% of the Fund's total assets in any single investment (the Shares and Debentures of any entity);
- The Fund Manager shall not cause the Fund to hold more than 20% of any company's issued shares;
- The Fund shall not invest in any in-house securities of the Manager;
- No part of the Fund shall be invested in any units or securities of another collective investment scheme being managed by the Fund Manager; and
- The Fund Manager shall not invest in any securities that are not transferable.

Risk Factors

The Fund Manager will exercise all necessary care, diligence and prudence in investing the monies raised in the Fund and no assurance can be given that the Fund's objectives will be achieved. Therefore the Units of the Fund been held are subject to the following inherent risk factors that affect general market conditions.

Market risk- These are factors that influence changes in market conditions and overall performance of the market, which are likely to affect the prices and value of assets. External factors such as, inflation, interest rate fluctuations, changes in government monetary and fiscal policies and other statutory regulations are considered.

Political Risk- Political terrain in Nigeria would likely impact the macro-economic condition of the country, and overall performance of the market. Political instability and changes in government laws and regulations are important factors under consideration.

Foreign Exchange risk: Fluctuations in currency exchange rates, (change in the value of the home currency to any foreign currency) are inherent for foreign investors and will be borne by them, as investments in the Fund are denominated in Naira.

The Fund's Risk Assessment Policy

The Fund Manager assesses risks using a Risk control matrix to determine the level of potential harm to portfolio that can occur as a result of inclusion of a particular security. The risk matrix assigns probabilities based on research outcomes and this is fed as input in the underweighting or overweighting of securities in the portfolio. This pertains to portfolio risk.

Operational risk is minimised with strong due diligence framework, a comprehensive system of checks and balances established by the Investment Committee and separation of all major investments and their related functions. Other inherent risk factors for the Fund include:
However, no framework can fully identify or mitigate the risks that pertain to investment management. The Fund Manager will follow the prudent man principle in making investment decisions but offers no guarantees that fund objectives will be achieved. The investments are denominated in Naira therefore the associated foreign currency risks are the responsibility of the investor.

SUBSCRIPTION TO THE FUND

Application to the Fund

The Fund shall be issued in Units of ₦1.00 each during the offer, subject to an initial minimum subscription of ₦50,000.00 and multiples of ₦10,000.00.

As an open-ended Fund, the entire oversubscribed portion shall be absorbed. The Fund Manager shall also create more units of the Fund from time to time as it deems fit, subject to the registration of the Units with the Commission.

Following the Offer, the Fund Manager shall issue new units for cash at the Offer Price (as determined, in accordance with Schedule VI of SEC Rules) on a valuation date following the day on which cleared funds are received.

Subsequent to the Offer, units of the Fund can be subscribed:

- From PAC Asset Management Limited (PACAM) Head Office as well as other approved channels and in such manner as the Fund Manager may from time to time advise. Completed Forms should be returned to PACAM Head Office as provided above along with a bank draft/cheque for the amount being invested.

- By downloading a Purchase Order Form from the PAC Asset Management Limited website at www.panafricalcapitalplc.com or www.pacassetmanagement.com. The downloaded and duly completed form and bank draft/cheque should be sent to PACAM Head Office as provided above. Payment for units of the Fund by existing PACAM customers can also be made by wire transfer, internet banking facilities and ATM as stated on the Subscription Form.

Subscription in foreign currency from foreign-based subscribers is also permissible. Such foreign currency amounts shall be converted to Naira at the exchange rate prevailing on the date of conversion as advised by the Fund Manager's bank.

Minimum Investment Amount

The minimum investment amount shall be ₦50,000.00 and any additional investment after the Offer shall be in multiples of N10,000.00. The Fund Manager however reserves the right to review these amounts as the need arises.

Fund Statement

Every Unit holder shall be entitled to receive from the Fund Manager, in electronic form, a Fund Statement for the number of units purchased by such Unit holder. The Fund Statement shall be conclusive evidence of the number of units held.

Valuation

The valuation of the Units shall be done at the close of each Business Day or such other period which the Fund Manager may advise from time to time, based on a formula approved by SEC. The NAV of the Fund shall be determined on the basis of current market value or as prescribed by the Commission from time to time. The Fund Manager will advise on the prices of the Fund after the valuation.

Redemption

Unit holders shall be entitled to redeem all or part of the units held by them at the Fund's NAV on any business day upon a request to the Fund Manager. The redemption request shall be processed and effected within 5 working days on the receipt of the completed Redemption Request Form.

Minimum Holding Period

The minimum holding period in the Fund shall be 90 days. However, the Fund Manager is aware that investors might have need for their monies within the minimum holding period and as such would allow redemption during the minimum holding period subject to a 10% charge of the positive total return of the Units being redeemed on the day of redemption.

The proceeds of the redemption shall be paid into the designated account provided by the Unit holder on the subscription form. However indemnity would be required from any unit holder who wishes;

- The Fund Manager to credit the proceeds of the investment to another designated or third party account other than the account indicated on the subscription form.

- Any other circumstance that the Fund Manager determines to warrant the submission of the above documents.

Dividend Distribution

Dividend will be paid from the income earned to Unitholders annually. Unit holders are required to specify on their subscription form the payment option for dividend distribution. Dividend can either be:

- Reinvested into the Fund and additional Units allocated to Unit holders, or,
- Credited into the Unit holders' bank accounts via electronic means as specified in the subscription forms.

Dividend shall be distributed within 7 working days after SEC's approval of the Fund's financial results for the financial year.

Tax Information

The Fund is structured to take full advantage of tax incentives granted by the Federal Government to unit trusts in order to allow investors maximize their after-tax returns on investment. Further to the "exemption from payment of tax" status accorded to dividend distribution by Unit Trusts by virtue of section 19(1)(f) of CITA, no taxes shall be or become payable by Unit Holders on income accruing to them from the Fund. However, the Fund Manager cannot guarantee continued impact of tax advantage on investors' after-tax returns in subsequent years since tax legislations are subject to changes.

Meeting of Unit Holders and Voting Rights

The Manager shall convene an Annual General Meeting of unit holders, with the consent of the Trustees, at the end of each financial year to consider the accounts and all matters affecting the Fund as well as other general meetings as the manager deems necessary. Each unit of the Fund carries a right of one vote in all matters requiring the decision of the unit holders. The unit confers on the unit holder exclusive participation in the returns on the assets of the Fund and a right to receive notices and vote at any General Meeting of the Fund.

Closure of the Register of Unit Holders

The register of Unit Holders will be closed for a maximum of 30 days in a year. Within the period of such closure, no disposal or sale will be in the register, (where in unitholders will not be able to redeem their unit holdings or new subscriptions made). The Unit Holders will be given at least two weeks' notice of such closure by publication in at least two national dailies.

Report of the Fund

Copies of the audited annual reports of the Fund will be mailed to all Unit Holders at their registered addresses within three months following the financial year end of the Fund.
The Fund's fiscal year ends on December 31st of each year.

INFORMATION ON THE FUND

Liquidation of the Fund

The Fund shall so subsist for the period the Trust exists in accordance with the Trust deed as approved by SEC and shall so subsist except on the occurrence of any of the following events:

(a) If the Manager believes that the investment objective of the Fund is no longer achievable.

(b) If six months after the date on which the Offer opened for subscription the value of the Fund shall be less than the minimum prescribed by SEC, the Manager may with the consent of the Trustee, (which shall not be unreasonably withheld), terminate the Trust on a date to be agreed between the Trustee and the Manager subject to the approval of the Commission.

(c) If any law is passed or regulations or decision of a court of competent jurisdiction or government policy is made which in the judgment of the Manager and/or the Trustee renders it illegal or impractical to continue the Fund.

(d) If the Commission revokes the authorisation of the Fund in accordance with the provisions of section 163 of the ISA.

(e) If at any meeting held in accordance with the provisions of the Trust Deed, it should be resolved by Special Resolution to determine the Trust on a date specified in such Special Resolution (being a date not earlier than three months after the date of the Resolution) the Trust shall accordingly be determined and this Deed shall cease to be of effect.

Fees, Charges and Expenses of the Fund

The following fees and expenses shall be met from the assets/income accruing to the Fund.

1. The Trustees shall be paid a fee equal 0.2% per annum of the Net Asset Value of the Fund,

2. The fee due to the Fund Manager, calculated and payable quarterly in arrears equal to 1% p.a. of the Net Asset Value of the Fund exclusive of Value Added Tax.

3. The Custodian shall be paid a fee equal 0.1% per annum of the Net Asset Value of the Fund, payable every quarter

FORECAST STATEMENT OF COMPREHENSIVE INCOME FOR YEAR ENDED 31ST DECEMBER

	Notes	2015	2016	2017	2018
		N '000	N '000	N '000	N '000
Income					
Dividend Income	1	11,641	13,122	14,869	16,843
Income from Money Market	1	17,607	18,043	18,586	21,054
Interest Income on bonds	1	16,777	18,913	21,430	24,275
Realised gains from Securities trading	2	56,263	63,425	71,867	81,407
Unrealised capital gains	3	17,461	19,684	22,304	25,264
Income from real estate trading	4	72,754	82,015	92,931	105,268
Total Income		**192,503**	**215,202**	**241,987**	**274,112**
Operating Expenses					
Management fee	5	9,701	10,935	12,391	14,036
Other operating expenses	6	7,610	8,731	10,195	11,268
Issue Costs	7	29,943	-	-	-
		47,253	**19,666**	**22,586**	**25,304**
Net Income/(Loss) before taxation		**145,250**	**195,536**	**219,401**	**248,808**
Taxation	11	(12,902)	(14,544)	(16,480)	(18,668)
Net Income/(Loss) after taxation		**132,348**	**180,992**	**202,921**	**230,140**
Distribution to Unit Holders		105,878	144,794	162,337	184,112
Undistributed Income		26,470	36,198	40,584	46,028

FORECAST STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER

	Notes	2015 N '000	2016 N '000	2017 N '000	2018 N '000
Current Assets					
Equity Investment	9	388,023	437,413	495,634	561,431
Money Market Investments	9	145,509	164,030	185,863	210,537
Fixed Income Investment	9	145,509	164,030	185,863	210,537
Trading real estate investment	9	291,017	328,060	371,724	421,074
Cash & Cash Equivalents		31,140	41,492	46,802	52,737
		1,001,198	1,135,026	1,285,886	1,456,316
Current liabilities					
Other Creditors	10	4,670	5,294	6,217	6,711
		4,670	5,294	6,217	6,711
Net Assets		996,527	1,129,731	1,279,669	1,449,605
Financed by					
Member's Funds	12	996,528	1,129,732	1,279,669	1,449,605
		996,527	1,129,731	1,279,669	1,449,605
Net asset per unit		99.65	112.97	127.97	144.96

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31ST DECEMBER

	2015 N'000	2016 N'000	2017 N'000	2018 N'000
Net asset value, beginning of year	970,058	996,528	1,129,732	1,279,669
Additions during the year	-	97,006	109,353	123,908
Undistributed net income	26,470	36,198	40,584	46,028
Net asset value, end of year	996,528	1,129,732	1,279,669	1,449,605
Increase in net asset value	26,470	133,204	149,937	169,936
Return on Investment	13.28	16.02	15.86	15.88

FORECAST STATEMENT OF CASH FLOWS FOR YEAR ENDED 31ST DECEMBER

	2015	2016	2017	2018
	N '000	N '000	N '000	N '000
Cash flows from operating activities				
Net income before distribution	145,250	195,536	219,401	248,807
Changes in operating assets/liabilities	4,670	623	924	493
Cash flow from operating activities	**149,920**	**196,159**	**220,325**	**249,300**
Taxation	(12,902)	(14,544)	(16,480)	(18,668)
Net cash flow from operating activities	**137,018**	**181,615**	**203,845**	**230,633**
Cash flows from investing activities				
Purchase of Equities	(388,023)	(49,390)	(58,221)	(65,797)
Purchase of Money Market Instruments	(145,509)	(18,521)	(21,833)	(24,674)
Purchased of Fixed Income Securities	(145,509)	(18,521)	(21,833)	(24,674)
Purchase of Real Estate Investments	(291,017)	(37,043)	(43,665)	(49,348)
Net cash flow from investing activities	**(970,058)**	**(123,475)**	**(145,552)**	**(164,493)**
Cash flow from financing activities				
Net proceeds from Issue	970,058	97,006	109,353	123,908
Distribution to Unit holders	(105,878)	(144,794)	(162,337)	(184,112)
Net cash flow from/(to) financing activities	**864,179**	**(47,788)**	**(52,984)**	**(60,204)**
Net increase in cash and cash equivalents	31,140	10,352	5,309	5,936
Opening cash and cash equivalents	-	31,140	41,492	46,802
closing Cash and cash equivalents	**31,140**	**41,492**	**46,801**	**52,739**

Basis:

The forecast financial statements have been prepared under the historical cost convention and in accordance with the Fund's accounting policies.

Assumptions:

A) The Fund Manager projects full subscription of total units offered to raise the required N1,000,000,000. The amount raised (net of issue costs) will be allocated to the various asset classes according to the following schedule:

Asset Class	Allocation Range	Target Weighting
		%
Equities	30 - 55	40
Money Market	10 - 25	15
Bonds	10 - 25	15
Real Estate	25 - 35	30

B) The Fund is expected to commence operations in 2015.

C) The Fund Manager assumes an annual growth rate of 10% of the yearly opening NAV in 2016, 2017 and 2018.

D) Dividend Income on the equities asset class is estimated at 3% per annum of the opening values of equities investments.

E) The Fund estimates that it will realise gains of 13.5% per annum on the opening values of its equities portfolio.

F) Unrealised gain on the Fund equity portfolio is projected at 4.5% annum on opening value of equities investments.

G) Yield on Money Market Instruments is expected to average 12.1% in 2015, 11% in 2016 and 10% in 2017 and 2018.

H) Yields from Investments in Bonds are expected to average 11.53% over the forecast period.

I) Real estate is projected to post an average return of 17% per annum over the period of the forecast.

J) The Fund Manager will earn management fees of 1% per annum on NAV of the Fund. This fee will accrue to the Fund Manager on quarterly NAV.

K) Operating expenses will average 1.96% of opening NAV, with the exception of commencement year due to the impact of issue costs.

Taxation is assumed at 10% WHT on Dividend Income over the forecast period. Withholding Tax paid by the Fund is treated as final tax on the Fund's Income.

L) The Fund will not be subject to Capital Gains Tax on realisation of unrealised gain.

M) The Fund's Portfolio return is forecasted at 13.28% in 2015, 16.02% in 2016, 15.86% in 2017 and 15.88% in 2018.

N) Offer expenses including statutory Fees, Professional Fees, Publicity and Marketing are estimated at N29.94m or 2.99% of the offer proceeds.

O) The Fund will bear all costs incidental to acquiring, valuing and disposing of investments.

Profile of Fund Manager

PAC Asset is an Asset Management Company with focus on Funds/Portfolio management, and Investment Advisory services to Corporate and institutional clients, Government Parastatals.
The company also provides wealth management to high net worth individuals with the aim to achieve long term objectives and estate planning.

PAC Asset is a subsidiary of PanAfrican Capital Plc, a registered capital market operator that provides an array of financial services in the areas of Investment Banking, Asset Management, Securities Trading, Structured Finance and Registrar Services to corporate and institutional clients.

PAC Asset business focuses on providing specialist investment avenues for clients. The company is positioned to successfully manage its clients' funds through its tailored in-house pooled private funds, structured close end funds, SEC registered public mutual funds, and stand alone portfolio funds.

Our services cuts across business areas and various clients including, High Net worth Individuals, Insurance companies, Endowment funds, Family and Trust Funds, Educational Centers, Charity Organisations, Religious Houses, Company Cooperatives & Staff Schemes, investment companies of Local, State and Federal Government.

The company also takes position for its own portfolio under its principal investments business.

Board of Directors and Management of the Fund Manager

Chris Oshiafi – Chairman

David Okwuadigbo – Managing Director / CEO

Sina Alimi – Director

Emeka Akwuaka- Company Secretary/Legal Adviser

FINANCIAL SUMMARY

PAC ASSET MANAGEMENT LIMITED

Balance Sheet as at 30th April

ASSETS	Notes	2014 N'000	Ten Month period ended 2013 N'000
Cash and short term funds	7	52,807	21,469
Loans and advances	8	1,071,507	989,221
Held to maturity financial assets	9	17	17
Other receivables	11	9,591	11,099
Intangible assets	13	1,694	2,156
Property, plant and equipment	12	7,329	694
Investment Property	10	1,080,000	1,076,872
Deferred taxation	15	2,836	-
Total Assets		2,225,781	2,101,528
LIABILITIES			
Funds under management	15	1,245,199	1,492,195
Other payables and accruals	16	775,050	640,258
Income tax liabilities	14c	95	-
Total Liabilities		2,020,344	2,132,453
EQUITY:			
Share capital	17	250,000	21,000
Retained earnings	18	(44,563)	(51,925)
Total equity		205,437	(30,925)
Total Liabilities and equity		2,225,781	2,101,528

Statement of Profit And Loss Account
for the year ended 30 April

	Notes	2014 N'000	Ten Month period ended 2013 N'000
Interest income	19	190,942	123,080
Interest expense	20	(186,765)	(122,001)
Net Interest income		4,177	1,079
Other operating income	21	57,258	33,853
Other expenses	22	(56,410)	(86,582)
		5,025	(51,650)
Finance expenses		(404)	(275)
Income/(Loss) before tax		4,621	(51,925)
Taxation	14a	2,741	-
Income/(Loss) after tax		7,362	(51,925)

Costs and Expenses

The costs, charges and expenses of and incidental to the Offer including fees payable to the Securities and Exchange Commission, professional parties' fees, brokerage commission, printing and distribution expenses are estimated at N29,942,500.00 or 2.99% of the gross Offer proceeds and are payable by the Fund and deductible from the monies raised by the Fund.

Relationship between the Issuer and the Professional Parties

The Fund Manager, the Issuing House, the Custodian and the Trustees do not have any common shareholder. Neither is one a subsidiary or holding company of the other. They do not have common directors

Material Contracts

In connection with the establishment and issuance of Units in the PACAM Balanced Fund, PAC Asset Management Limited and/or the Trustee have entered into the following contract, which may be material to the offer.

a. A Trust deed dated January 27, 2015 between PAC Asset Management Limited and FBN Trustees Limited constituting the PACAM Balanced Fund and Units therein issued or to be issued by the Joint Issuing Houses.

b. A Vending Agreement January 27, 2015 under the terms of which LeadCapital Plc and PanAfrican Capital Plc agreed on behalf of PAC Asset Management Limited to offer for subscription 1,000,000,000 units each at ₦1.00 per Unit in the PACAM Balanced Fund.

c. A Custody Agreement, dated, January 27, 2015 between PAC Asset Management Limited, FBN Trustees Limited and United Bank for Africa Plc (Global Investor Services Division) with respect to the PACAM Balanced Fund and Units therein issued or to be issued by the Joint Issuing Houses.

Consents

The following have given and not withdrawn their written consents to the issue of this Prospectus with their names and reports (where applicable) included in the form and context in which they appear;

a)	The Fund Manager	-	PAC ASSET MANAGEMENT LIMITED
b)	Directors of the Manager	-	Chris Oshiafi
			Sina Alimi
			David Okwuadigbo
c)	Company Secretary	-	Emeka Akwuaka
d)	Lead Issuing House	-	LeadCapital Plc
e)	Joint Issuing House	-	PanAfrican Capital Plc
f)	The Trustees to the Fund	-	FBN Trustees Limited
g)	Solicitors to the Fund	-	Alliance Law Firm
h)	Solicitors to the Trustee	-	G. Elias & Co
i)	Reporting Accountants	-	Alatta Nzewi Oyeka & Co.
j)	Registrar	-	Meristem Registrars Limited
k)	Custodian	-	United Bank for Africa Plc
l)	Receiving Bankers	-	Access Bank Plc
		-	Unity Bank Plc

Documents for Inspection

The following documents are available for inspection at the offices of LeadCapital Plc, Plot 281, Ajose Adeogun Street, Victoria Island Lagos, during normal business hours (except public holidays) from 8.00 am to 5.00 pm from Wednesday, February 4, 2015 to Friday, March 13, 2015.

a) The Certificate of Incorporation of PAC Asset Management Limited
b) The Memorandum & Articles of Association of PAC Asset Management Limited
c) The Certificate of Incorporation of the Trustees
d) The Memorandum & Articles of Association of the Trustees
e) The Unaudited Accounts of PAC Asset Management Limited for the first half of 2013 ended June 2013
f) The Reporting Accountants' Report on the financial forecast of the Fund for the three years ending 31 December, 2014, 2015, 2016
g) The Resolution of the Board of Directors of PAC Asset Management Limited authorising the creation of the Fund and the issuance of 1,000,000,000 Units of the Fund

h) The duly executed prospectus issued in respect of the Offer
i) The letter of authorisation of the Fund and registration of the Units by the SEC
j) The Written Consents referred to above
k) The Trust Deed
l) The Custodian Agreement

Fees and Expenses

The following fees and expenses shall be met from the assets/income accruing to the Fund.

1. The Trustees shall be paid a fee equal 0.2% per annum of the Net Asset Value of the Fund

2. The fee due to the Fund Manager, calculated and payable quarterly in arrears equal to 1.0% of the Net Asset Value of the Fund exclusive of Value Added Tax. The Fund Manager will also be entitled to reimbursement of reasonable out of pocket expenses incurred whilst performing duties incidental to the management of the Fund. Where the total returns of the Fund exceed ten per cent (10%) of the Net Asset Value of the Fund, the Fund Manager shall be entitled to an incentive fee of twenty per cent (20%) of the profits in excess of ten per cent (10%) of the Net Asset Value of the Fund, subject to the limit on costs and expenses set out in Clause 33.7 below

3. The Custodian shall be paid a fee equal 0.1% per annum of the Net Asset Value of the Fund payable every quarter

In addition to the fees, charges and expenses outlined above, the Fund shall also pay all reasonable expenses incurred by the Fund or its managers in the normal course of business. Such costs include but are not limited to taxes, legal expenses, auditing, financial advisory, research and other fees due to the regulatory and other authorities.

The costs and expenses of establishing the Fund is estimated at ₦29,942,500.00 or 2.99% of the gross Offer proceeds.

PROCEDURE FOR APPLICATION AND ALLOTMENT

1 Application

1.1 The general investing public is hereby invited to apply for units of the Fund through any Branch of Access Bank, Unity Bank and the head office of PAC Asset Management Limited.

1.2 Applications for the Units must be made in accordance with the instructions set out at the back of the application form. Care must be taken to follow these instructions, as applications, which do not comply, will be rejected.

1.3 The Application List for the Units now being offered will be open to each prospective investor at 8am on Wednesday, February 4, 2015 and close at 5.00pm on Friday, March 13, 2015. Applications must be for a minimum of 50,000 Units and in amounts not less than 10,000 Units thereafter. The number of Units for which an application is made and the value of the cheque or bank draft attached should be entered in the boxes provided.

1.4 Applicants should sign the declaration and write his/her full names, address and daytime telephone number(s) in the appropriate sections. A corporate applicant should affix its seal and state its Incorporation Number or in the case of a corporate foreign subscriber its appropriate identification number in the jurisdiction in which it was constituted. Where the application is made on behalf of a child, the full names of the applicant and the child, and the date of birth of the child should be provided.

1.5 Each applicant should forward together with the cheque or bank draft for the full amount of the purchase price to any of the receiving banks or PACAM offices. The cheque or draft must be drawn on a bank in the same town or city in which the Receiving Bank is located and crossed **"PACAM BALANCED FUND"** with the name, address and daytime phone number of the applicant written on the back. All bank commissions and transfer charges must be prepaid by the applicants. All cheques and drafts will be presented upon receipt and all applications in respect of which cheques are returned unpaid will be rejected through the post at the applicant's risk.

2 Allotment

The Joint Issuing House and the Directors of PAC Asset Management Limited (the Fund Manager) reserve the right to accept or reject any application in whole or in part. All irregular or suspected multiple applications will be rejected. In the event of an over subscription, additional units of the Fund will be allotted subject to the Commission's approval.

3 Application Monies

All application monies will be retained in separate interest yielding bank accounts by the Receiving Bankers pending allotment. If any application is not accepted, or is accepted for fewer Units than the quantity applied for, a cheque for the full amount or the balance of the amount paid (as the case may be) will be returned by post within one week of allotment. Electronic Fund Statements would be sent by post not later than 2 weeks from the date of allotment.

RECEIVING AGENTS

Completed application forms can be submitted to the PAC ASSET MANAGEMENT LIMITED office, detailed below, and any of the Access Bank and Unity Bank branches nearest to you.

PAC ASSET MANAGEMENT LIMITED
Head Office:
8A Elsie Femi-Pearse Street,
Victoria Island,
Lagos

RECEIVING BANKERS
Access Bank Plc
Idejo Branch
Victoria Island,
Lagos

Unity Bank Plc
290A Akin Olugbade Street,
Victoria Island
Lagos

APPLICATION FORM

APPLICATION FORM

PACAM BALANCED FUND

OFFER FOR SUBSCRIPTION OF 1,000,000,000 UNITS OF N1 EACH At Par

Please complete all relevant sections of the Application Form USING BLOCK LETTERS

NUMBER OF UNITS APPLIED FOR: (MINIMUM OF 50,000 AND IN MULTIPLES OF 10,000 THEREAFTER)	

PAYMENT DETAILS:

BANK:	CHEQUE/DRAFT NO:	AMOUNT (N)

NAME OF APPLICANT:

ADDRESS:

EMAIL ADDRESS:

BANK ACCOUNT NUMBER:

NAME AND ADDRESS OF BANK:

CONTACT TELEPHONE NUMBERS:

MOBILE:	OTHERS:

NEXT OF KIN:

NAME	RELATIONSHIP

OPTION OF DIVIDEND DITSRIBUTION:

BANK TRANSFER: ☐	OR	REINVEST ☐

DECLARATION

- ☐ I /We am / are 18 years of age and above
- ☐ I/We confirm that I/we have read and understood the Prospectus dated January 27, 2015 to which this Application Form is attached.
- ☐ I/We attach the amount payable in full on application for the number of shares that I/we wish to subscribe to the Offer of PACAM Balanced Fund at N1.00 per unit.
- ☐ I/We authorise you to send an allotment certificate and/or a cheque for any refund due to me/us, by registered post to the address given above and to procure registration in my/our name as the holder(s) of such number of units or such smaller number, as aforesaid.

APPLICANT'S DETAILS:

AUTHORISED SIGNATORY(IES)		CORPORATE SEAL/RC NUMBER
DESIGNATION		
SIGNATURE		

FOR REGISTRAR'S USE ONLY

UNITS APPLIED FOR	UNITS ALLOTED	AMOUNT PAID (₦)	VALUE OF UNITS ALLOTED (₦)	AMOUNT TO BE RETURNED(₦)

LEAD ISSUING HOUSE

LEADCAPITAL PLC RC116443

JOINT ISSUING HOUSE

RC25441

INSTRUCTIONS FOR COMPLETING APPLICATION FORM

1. Application should be made only on the Application form or Photocopy or scanned copies of the Application form.

2. Applications must not be for less than the minimum number of units stated on the Application Form. Application for more than the minimum number of units must be in the multiples stated on the Application Form. The number of units for which an application is made and the amount of the cheque or bank draft attached should be entered in the boxes provided.

3. The Application form when completed should be lodged with any of the receiving banks listed on page 24. Applications must be accompanied by a cheque or bank draft made out for the full amount payable on application. The cheque or draft must be crossed "PACAM BALANCED FUND" with the name, address and daytime telephone number of the applicant written on the back. In the case of electronic payments application form must be accompanied by online transfer receipt evidencing payment to the Fund. All bank commissions and transfer charges must be prepaid by the applicant. All cheques and drafts will be presented upon receipt and all applications in respect of which cheques are returned unpaid will be rejected.

4. Joint applicants must all sign the Application form.

5. An application from a group of individuals should be made in the names of those individuals. An application by a firm which is not registered should be made either in the name of the proprietor or in the names of the individual partners.

6. An application from a corporate body must bear the corporate body's seal and be completed under the hand of a duly authorized officer.

7. An application by an illiterate should bear his right thumb print on the Application Form and be witnessed by an official of PACAM or any of the receiving banks at which the application is lodged who must first have explained the meaning and effect of the application form to the illiterate in his own language. Above the thumbprint of the illiterate, the witness must record in writing that he has given this explanation to the illiterate in a language understandable to him and that the illiterate appeared to have understood same before affixing his thumb impression.

8. The applicant should not print his signature. If he is unable to sign in the normal manner he should be treated for the purpose of this Offer as an illiterate and his right thumbprint should be clearly impressed on the Application Form.

TRUST DEED

COUNTERPART

FOR THE PACAM BALANCED FUND

BETWEEN

PAC ASSET MANANGEMENT LIMITED (RC 695281)

AND

FBN TRUSTEES LIMITED (RC 29763)

THE TRUSTEE WILL BE LIABLE FOR BREACH OF ITS DUTIES WHERE IT FAILS TO CARRY OUT ITS RESPONSIBILITIES UNDER THIS TRUST DEED OR REPORT A BREACH OF THE TERMS OF THIS TRUST DEED TO THE SECURITIES AND EXCHANGE COMMISSION

Dated this ____ day of _____, 2015

Prepared By:
G. Elias & Co.
(Solicitors and Advocates)
6 Broad Street
Lagos

TABLE OF CONTENTS

CLAUSE		PAGE
1.	Definitions and Interpretation	5
2.	Declaration of Trust	10
3.	Trust Deed	11
4.	Duration of Trust	11
5.	Description and Objective of the Fund	11
6.	Rights of Unit Holders	11
7.	Constitution of the Fund	12
8.	Sale and Issuance of Units	13
9.	Management of the Fund	14
10.	Investment of Fund Property and Accounts of the Fund	14
11.	Investment Policy	16
12.	Right to Decide on Investments	16
13.	Restrictions on Investments	16
14.	Risk Factors	17
15.	Taxation	17
16.	Custody of Investments and Cash	18
17.	Realisation of Investments	18
18.	Change of Investments	18
19.	Acquisition and Disposal of Units and New Units	19
20.	Redemption of Units	20
21.	Transfer of Units	21
22.	Supplemental Powers of Trustee	22
23.	Appointment and Removal of Registrar	23
24.	Registration of Unit Holders	23
25.	Issue of Fund Statements	25
26.	Form of Fund Statements	25
27.	Preparation of Fund Statements, Cheques and Warrants *Etc.*	25
28.	Voting Rights on Fund Property	25
29.	Distribution of Income/Reinvestment	26
30.	Trustee and Fund Manager's Indemnities, Rights, Powers and Discretion	27
31.	Trustee's Duties	31
32.	Fund Manager and Trustee Acting for Other Trusts	32
33.	Payments to the Trustee, Fund Manager and Custodian	32
34.	Conditions for Effecting Transactions or Dealings	33
35.	Covenants by Fund Manager	33
36.	Removal or Retirement of Fund Manager	34
37.	Removal or Retirement of Trustee	35
38.	Appointment, Removal and Retirement of Auditors	36
39.	Auditing of Accounts	37
40.	Administration of the Trust	38
41.	Termination of the Trust	39
42.	Force Majeure	40

43.	Procedure after Termination of the Trust	40
44.	Meetings	41
45.	Investment Committee	41
46.	Circulars and Advertisements	41
47.	Notices	42
48.	Payments	42
49.	Copies of Trust Deed to be Made Available	43
50.	Reconstruction and Amalgamation	43
51.	Power of Modification by Supplemental Deed	43
52.	Governing Law	44
53.	Disputes	44
54.	Compliance	44
55.	Miscellaneous	45
56.	Breach of the Terms of the Trust Deed	45
	The First Schedule: Rules for Meetings of Unit Holders	46
	The Second Schedule: Form of Fund Statement	54
	The Third Schedule: Form of Redemption Notice	55
	The Fourth Schedule: Transfer Form	56
	The Fifth Schedule: The Register	58
	The Sixth Schedule: The Bid Price	59
	The Seventh Schedule: The Offer Price	60

THIS TRUST DEED is made the ..... day of 2015

BETWEEN

PAC ASSET MANAGEMENT LIMITED (RC No. 695281), a private limited liability company registered with Securities and Exchange Commission and whose registered office is at 8A, Elsie Femi Pearse, Victoria Island, Lagos, Nigeria (hereinafter called **"the Fund Manager"** or **"the Manager"** which expressions shall except where they are inconsistent with the context include the Fund Manager for the time being of the Fund hereby constituted) of the one part;

AND

FBN TRUSTEES LIMITED (RC No. 29763), a private limited liability company registered with the Securities and Exchange Commission and whose principal place of business is at 16, Keffi Street, Off Awolowo Road, Ikoyi, Lagos, Nigeria (hereinafter called **"the Trustee"** which expression shall except where it is inconsistent with the context include the Trustee for the time being of the Fund hereby constituted) of the other part.

WHEREAS:

A. The Fund Manager is a private limited liability company registered under the Companies and Allied Matters Act, 1990. The Fund manager is authorized and registered with the Securities and Exchange Commission to act as a Fund Manager.

B. The Trustee is a private limited liability company registered under the Companies and Allied Matters Act, 1990. The Trustee is authorized and registered with the Securities and Exchange Commission to act as a Trustee.

C. The Fund Manager pursuant to a resolution by its Board of Directors, dated April 8, 2013 and subject to the approval of the Securities and Exchange Commission is authorized to establish and offer by way of an Initial Public Offer to the general public up to 1,000,000,000 units of the PACAM BALANCED FUND (the "Fund") at ₦1.00 per Unit and will issue a Prospectus for the purpose of giving information to the public in connection with the offering, the terms and conditions of which are contained in this Trust Deed.

D. The Fund will provide investors the opportunity of benefiting from returns accruing from investments in equities, government and Corporate bonds, real estate and money market instruments as may be approved by the Securities and Exchange Commission from time to time.

E. The Fund Manager has appointed the Trustee to act as trustee to the Fund on behalf of and for the benefit of Unit Holders. The Trustee has agreed to act as

trustee to the Fund for the benefit of Unit Holders subject to the terms and conditions set forth in this Deed.

F. The Fund Manager and the Trustee are distinct and separate legal entities and neither of them is a subsidiary of the other.

IT IS HEREBY AGREED AND DECLARED as follows:-

1. **DEFINITIONS AND INTERPRETATION**

In this Deed unless the context otherwise indicates the following words or expression shall have the meaning respectively assigned to them below:

1.1.1 **"Associated Person"** means any person duly authorised by the Fund Manager, or by the Trustees of the Fund, to give proper instructions on behalf of the Fund (including, for the avoidance of doubt, any officer or employee of such person);

1.1.2 **"Auditors"** means PKF Professional Services or any other firm of auditors properly appointed in accordance with clause 38 of this Trust Deed;

1.1.3 **"Authorised Investment"** means investments of the Fund's assets in accordance with Clause 10 of this Trust Deed and constitute any investment in high quality equities, government and corporate bonds with investment grade, money market instruments and real estate investments as specified from time to time by the Commission;

1.1.5 **"Authorised Person"** means any person duly authorised by the Fund Manager, or by the Trustees of the Fund, to give proper instructions on behalf of the Fund (including, for the avoidance of doubt, any officer or employee of such person);

1.1.6 **"Bid Price"** means the price, computed in accordance with the formula specified by the Fund Manager in accordance with SEC guidelines, at which an investor may redeem Units of the Fund at any point in time;

1.1.7 **"Broker"** means any person duly registered by SEC and licensed to engage in the business of effecting transactions in securities for the account of others on the floor of the Nigerian Stock Exchange;

1.1.8 **"Business Day"** means any Monday through Friday excluding days designated by the Federal Government of Nigeria as a public holiday;

1.1.9 **"CAMA"** means the Companies and Allied Matters Act, 1990;

1.1.10 **"Charges"** means any reasonable expenses borne by the Fund in its ordinary course of business as stated in Clause 33 of this Deed;

1.1.11 **"CITA"** means Companies Income Tax Act, 2007;

1.1.12 **"Commission" or "SEC"** means the Securities and Exchange Commission as established pursuant to the Investments and Securities Act No. 29 of 2007 (**"ISA"**);

1.1.13 **"CSCS"** means Central Securities Clearing System Plc;

1.1.14 **"Custodian"** means United Bank for Africa Plc or such other entity appointed by the Fund Manager with the approval of the Trustee to hold and protect the deposited property of a Collective Investment Scheme and duly registered by SEC as a Custodian;

1.1.15 **"Custody Agreement"** means the agreement between UBA Plc (Global Investors Services Division) and PAC Asset Management Limited dated on or about the date of this Deed;

1.1.16 **"Distribution"** means the distribution of income proceeds made to Unit Holders out of the profits of the Fund in any Financial Year either in cash or in any other form that may be agreed by the Trustee and the Fund Manager;

1.1.17 **"Dividends"** means a portion of the Fund's profits distributed pro rata to the Unit Holders;

1.1.18 **"Financial Year"** means the period of twelve months ending December 31st, or any other period as may from time to time be determined by the Fund Manager with the written consent of the Trustee;

1.1.19 **"Foreign Currency"** means any currency other than Nigerian Naira;

1.1.20 **"Foreign Currency Subscriber"** means any subscriber to the Fund, making payments for the Units subscribed to in Foreign Currency;

1.1.21 **"The Fund/Trust Fund"** means the PACAM BALANCED FUND as constituted by this Deed and includes the investments and cash for the time being vested in the Trustee under this Deed or any deed supplemental to this Deed under the following headings:

(a) all such investments as may in accordance with the provisions herein contained be vested in the Trustee for the purpose of being held by or on behalf of the Trustee upon trusts of this Deed; and

(b) all unrealized capital not included in the value of the investment and any cash of a capital nature;

1.1.22 **"Fund Property"** means the Fund consisting of all assets, including cash for the time being held or deemed to be held by virtue of this Trust Deed;

1.1.23 **"Fund Statement"** means an electronic statement in the form specified in the Second Schedule to this Trust Deed issued to a Unit Holder and representing evidence of the Unit Holder's title to the Units specified in the fund statement;

1.1.24 **"Initial Public Offer or IPO or Offer "**means the Offer for Subscription to the 1,000,000,000 Units of the Fund at par value of ₦1.00 each in accordance with Clause 8 hereof;

1.1.25 **"Investment"** means any Authorised Investment forming part of the Fund Property;

1.1.26 **"Investment Policy"** is as stated in Clause 11 hereof;

1.1.27 **"Initial Subscription Price"** means the sum of ₦1.00 per Unit, being the Offer Price of the Units during the Initial Subscription Period;

1.1.28 **"Initial Subscription Period"** means the period commencing from _____2015 to _____2015;

1.1.29 **"Investment Committee"** means the committee constituted under Clause 45 of this Deed;

1.1.30 **"ISA" or the "Act"** means the Investment and Securities Act No. 29 of 2007;

1.1.31 **"Issued Units"** means all the Units of the Fund that have been sold to the Unit Holders and have not been redeemed;

1.1.32 **"Local Subscriber"** means any subscriber to the Fund making payment in Naira for the Units subscribed to, at branches of the banks and stock broking firms listed on the application form for subscription of Units of the Fund;

1.1.33 **"Meeting"** means the General Meeting of Unit Holders convened in accordance with the provisions of this Trust Deed;

1.1.34 **"Minimum Number of Application Units"** means 50,000 Units or such number of Units as the Fund Manager may generally prescribe from time to time;

1.1.35 **"Naira"** means lawful currency for the time being of the Federal Republic of Nigeria;

1.1.36 **"Net Asset Value"** means the value of all investments and other assets of the Fund after adjustments and/or deductions in respect of all liabilities pertaining thereto, including but not limited to the cost of the Offer, the remunerations of the Fund Manager, the Trustee and the Auditor;

1.1.37 **"Offer Price"** means a price at which an investor can purchase a Unit in the Fund after the Initial Subscription Period calculated in accordance with Schedule VI of SEC Rules;

1.1.38 **"Ordinary Resolution"** means a resolution passed by a simple majority in value of Units held by Unit Holders of the Fund that are entitled to cast their votes either in person or by proxy and present at a Meeting;

1.1.39 **"Prospectus"** means the Prospectus dated _____ issued by the Fund Manager in respect of the offer for the subscription of 1,000,000,000 Units in the Fund and approved by the Commission;

1.1.40 **"Receiving Banks"** means Unity Bank Plc and Access Bank Plc and any other banking company licensed by the Central Bank of Nigeria (**"CBN"**) under the Banks and other Financial Institutions Act, 1991 as agreed by the Fund Manager;

1.1.41 **"Redemption Notice"** means any notice in the form set out in Schedule Three hereof given by a Unit Holder evidencing an intention to redeem Units in the Fund;

1.1.42 **"Register"** means the Register of Unit Holders;

1.1.43 **"Registered Unit"** means a Unit representing a share of a Unit Holder in the Fund in respect of which a Unit Holder is entered in the Register as the holder thereof;

1.1.44 **"SEC Rules"** means the Rules and Regulations of the Commission made pursuant to the ISA 2007;

1.1.45 **"Special Resolution"** means a resolution passed by not less than three-quarters in value of the votes cast by Unit Holders of the Fund that are entitled to do so either in person or by proxy and present at a meeting of which twenty one (21) days' notice specifying the intention to propose the resolution as a Special Resolution has been duly given;

1.1.46 **"Statement of Unit-holding"** means the definitive statement issued by the Fund Manager acknowledging the number of and face value of the units registered in the name of a Unit Holder, representing undivided shares in the Trust;

1.1.47 **"Stock Exchange" or "NSE"** means the Nigerian Stock Exchange;

1.1.48 **"Trust"** means the Trust constituted by this Deed being an open ended scheme;

1.1.49 **"Trust Deed" or "this Deed"** means the provisions of this Deed and any other document supplemental hereto or executed in pursuance thereof;

1.1.50 **"Trustee"** means FBN Trustees Limited, its successors-in-title or such other replacement trustee or trustees as may be appointed in accordance with the provisions of this Trust Deed, the SEC Rules and the approval of the Commission;

1.1.51 **"Trustee Investments Act"** means Trustee Investments Act, Cap T22, Laws of the Federation of Nigeria, 2004;

1.1.52 **"Trust Period"** means the period from the date of this Deed until the Trust shall be terminated in manner hereinafter provided;

1.1.53 **"Unit Holder" or "Holder"** means person(s) for the time being entered in the Register as beneficiaries of the Fund under the Trust Deed;

1.1.54 **"Unit"** means a Unit created and issued and represents one undivided share in the Fund Property;

1.1.55 **"Valuation Day"** means a day on which a Redemption Notice will be processed and the Net Asset Value will be calculated;

1.1.56 **"Year"** means a calendar year of 365 days and in the case of a leap year, 366 days;

1.2 A statutory provision includes a reference to:

1.2.1 the statutory provision as modified or re-enacted or both from time to time (whether before or after the date of this Deed); and

1.2.2 any subordinate legislation made under the statutory provision (whether before or after the date of this Deed);

1.3 Person(s) includes a reference to a natural person, individual, enterprise, company, corporation, partnership, joint venture, trust, association or

any other legal person or entity of whatever nature, including in any such case its permitted successors and assignees in such capacity or any successor to its functions and capacities;

1.4 The masculine gender shall be construed to include the feminine gender and vice versa;

1.5 A clause, schedule or annex, unless the context otherwise requires, is a reference to a clause of or schedule or annex to this Deed;

1.6 The headings used in this Deed are for convenience only and shall not affect the interpretation of this Deed;

1.7 Words used in the singular shall where appropriate, be construed to include the plural and vice versa; and

1.8 Reference to a document shall be construed as a reference to such document as may from time to time be amended, restated, supplemented, novated or otherwise modified but disregarding any amendment, supplement or other modification made in breach of this Deed.

2. DECLARATION OF TRUST

It is hereby declared that an open-ended collective investment scheme in the form of a Trust in the name and title of "**PACAM BALANCED FUND**" is hereby created and the Fund Manager is hereby appointed to establish, manage, operate and administer the Fund and the Trustee is hereby nominated, constituted and appointed as the Trustee of the Fund. The Fund Manager and the Trustee hereby agree to such appointments and further declare that:

2.1 the Trustee shall, through the Custodian, hold and stand possessed of the Fund Property that may from time to time be vested in the Trustee on trust for the benefit of the Unit Holders ranking *pari passu* according to the number of Units held by each Unit Holder;

2.2 the Fund Property shall be held by the Trustee as "The Trustees of the PACAM BALANCED FUND";

2.3 the Fund Manager shall establish, manage, operate and administer the Fund on the terms and conditions contained in this Trust Deed and any conditions approved by the Trustee or as may be imposed by the Commission from time to time; and

2.4 the Fund Property shall be invested from time to time by the Fund Manager in accordance with the terms and conditions contained in this Trust Deed.

3. TRUST DEED

The provisions of this Deed and of any duly executed Deed supplemental hereto shall be binding on the Trustee and the Fund Manager and the Unit Holders and all persons claiming through them respectively as if such Unit Holders and persons are parties to this Deed and such supplemental deed.

4. DURATION OF THE TRUST

The Common Law Rule against perpetuities that no future interest in the property is valid unless it vests twenty one (21) years after its creation shall apply and the duration of the Trust shall be twenty one (21) years, subject only to the provision for termination as herein contained.

5. DESCRIPTION AND OBJECTIVE OF THE FUND

5.1 The PACAM BALANCED FUND is an actively managed open-ended Unit Trust Scheme that enables the Unit Holders to invest in the fund, subject to the approval of SEC from time to time, in a portfolio of listed equities, high quality investment grade bonds of Federal and State Governments, Corporate bonds registered by the Commission, Eurobonds issued by quoted Nigerian companies given at least an A- rating by a rating agency duly registered by SEC, other fixed income money market securities and real estate.

5.2 The fundamental objective of the Fund is to achieve a long-term appreciation of its assets, maximize returns on capital employed, and provide Unit Holders with streams of income and capital preservation through investment in select portfolio of equities, bond securities, money market instruments and real estate.

6. RIGHTS OF UNIT HOLDERS

6.1 No Unit Holder shall be liable to make any further payments to the Trustee or the Fund Manager after he has paid the Initial Subscription Price or Offer Price of the Units (as the case may be), in accordance with Clause 8 of this Trust Deed, and no further liability shall be imposed on any Unit Holder in respect of Units held by him.

6.2 The Unit Holders shall not have or acquire any right against the Fund Manager or the Trustee in respect of Units save such as are expressly conferred upon them by this Deed or by any laws regulating this Deed or an order of a court of competent jurisdiction.

6.3 No person shall be recognized as a Unit Holder except in respect of Units registered in his name.

6.4 Each Unit Holder has a beneficial interest in the Trust proportionate to the Units held by such Unit Holder and shall have such rights as are set out in this Trust Deed and the Prospectus.

6.5 The Fund Manager shall be treated for the purposes of this Deed as the Unit Holder of each Unit during such time that neither the Fund Manager nor any other person is registered as the Unit Holder but nothing herein contained shall prevent the Fund Manager from subscribing for and becoming a registered holder of the Units in the Fund.

6.6 The Fund Property shall be held as a single common Fund and no Unit thereof shall confer any interest or share in any particular part of the Fund Property. Thus, all Units and fractions represent an undivided share in the Fund and shall rank *pari passu* according to the number of Units held by each Unit Holder, including as to the rights of the Unit Holders in the earnings and the receipt of dividends and distributions.

6.7 The Unit Holders shall have a right to:

6.7.1 mortgage, pledge, charge or otherwise use their Unitholdings as security for any debt, loan or obligation entered into by them;

6.7.2 subject to the provision of this Deed, convene a meeting of Unit Holders where such Unit Holders hold not less than twenty five *per cent* (25%) of the value of the issued Units of the Fund; and

6.7.3 receive dividends.

7. CONSTITUTION OF THE FUND

7.1 The Fund shall initially be constituted out of the proceeds of sale of Units in the Fund under the IPO.

7.2 The cash proceeds of the Offer and any other property at all times will be vested in the Trustee and shall constitute the Fund after deduction of or provisions for Charges by the Fund Manager and be maintained in an account operated by the Custodian.

7.3 The Fund shall be held as a single common fund and no Unit shall confer any interest or share in any particular part of the Fund.

7.4 The Trustee shall have all the rights and powers conferred upon trustees by the Trustee Investments Act.

7.5 The powers hereby conferred on the Trustee shall be exercised in addition to any powers which may from time to time be vested in it by

general law or as holder of the Fund in so far as it does not and shall not conflict with the rights and powers vested in the Fund Manager by virtue of this Deed. The Trustee in the exercise of powers and discretions vested in it by this Deed shall comply with the provisions of the ISA, and all SEC Rules made pursuant to it.

7.6 The Custodian will manage the FBN Trustees/PACAM Balanced Fund Securities Account and the FBN Trustees/PACAM Balanced Fund Cash Account of the Fund in consultation with the Fund Manager and Trustee.

7.7 The Fund Manager shall not open or operate any other bank accounts for the Fund.

7.8 All stamp duty and all other taxes and Charges payable on this Deed or upon the constitution of new Units shall be payable out of the FBN Trustees/PACAM Balanced Fund Cash Account.

7.9 The Fund Manager shall not borrow upon the Investment of the Fund nor on behalf of the Fund or Unit Holders and monies may not be lent of the Investment of the Fund.

7.10 The Fund Manager shall supply the Commission and the Trustee with monthly, quarterly, half-yearly and annual reports thereon and a valuation of the investments held in the Fund.

7.11 The Trustee shall whenever it becomes necessary to enforce the terms of this Trust Deed act within thirty (30) days and shall inform the Commission of any breach of the terms and conditions of the Trust Deed not later than ten (10) Business days after the breach.

8. SALE AND ISSUANCE OF UNITS

8.1 The Fund Manager shall issue 1,000,000,000 Units of the Fund at the Initial Subscription Price to the general public.

8.2 The minimum investment in the Fund that one or joint Unit Holder(s) may make pursuant to the IPO is 50,000 Units of the Fund at ₦1.00 per Unit and additional Units shall be issued in multiples of 10,000 and shall be payable in full upon subscription.

8.3 The Fund Manager shall in accordance to the SEC Rule 450(2) subscribe to a minimum of five *per cent* (5%) of the IPO and hold such Units for the duration of the scheme. Any Units not sold shall be held by the Fund Manager and shall be available for purchase.

8.4 Subsequent to the IPO, the Fund Manager shall have the power to create additional Units which shall be purchased at the Offer price, on the investment terms set out in clause 8.2 above and registered with SEC.

8.5 The Fund shall be domiciled in Nigeria and shall be denominated in Nigerian Naira.

9. MANAGEMENT OF THE FUND

9.1 The effective control over the affairs of the Trust is vested in and will be exercised independently by the Trustee on behalf of the Unit Holders.

9.2 The Manager shall obtain the prior consent of the Trustee through the Investment Committee and where applicable the consent of the Commission before finalizing any investment it wishes to make.

9.3 The Manager shall be entitled subject to the consent of the Trustee, to delegate to any person, firm or corporation upon such terms and conditions as it may think fit all or any of its powers and discretion in relation to the selection acquisition holding and realization of investments and applications of any monies forming part of the Investments PROVIDED THAT the Manager shall remain liable hereunder for any act or omission of any such person firm or corporation in relation to the exercise or non-exercise of any powers or discretion so delegated as if the same were an act or omission of the Manager.

10. INVESTMENT OF FUND PROPERTY AND ACCOUNTS OF THE FUND

10.1 The Fund shall be constituted from the proceeds of the public offering of the Units.

10.2 The Fund Manager shall maintain at least two accounts to be designated as the FBN Trustees/PACAM Balanced Fund Securities Account and the FBN Trustees/PACAM Balanced Fund Cash Account. All cash proceeds of the sale of Units shall be paid into the FBN Trustees/PACAM Balanced Fund Cash Account. A portion of such proceeds will be used for the payment of Charges incidental to the administration of the Fund.

10.3 The Fund Manager may at its discretion, subject to the consent of the Trustee, direct the opening of further accounts of the Fund to be managed by the Custodian.

10.4 The Fund Manager shall not open or operate any other bank accounts for the Fund.

10.5 The asset allocation policy of the Fund to be computed at prevailing market values from time to time, shall be as follows:

	Asset Class	Asset Allocation
10.5.1	Money Market Instruments	10% to 25%
10.5.2	Bonds (Federal, State, Corporate & Eurobonds)	10% to 25%
10.5.3	Equities	30% to 55%
10.5.4	Real Estate Investments	25% to 35%

10.6 The Fund Manager shall not:

10.6.1 cause any investment to be made or enter into any transaction capable of resulting in all or any part of the Fund Property being mortgaged, pledged, charged or in any other way being offered as security in any form; and

10.6.2 borrow or obtain any credit for the purpose of financing the Fund's investments.

10.7 In the event of extreme market conditions and market volatility, the Fund Manager may revise the asset allocation bands set forth in this Deed in order to protect the value of the Fund for the benefit of Unit Holders.

10.8 Subsequent to and within forty eight (48) hours of any revision to the asset allocation contemplated in clause 10.5 above, the Fund Manager shall seek the approval of the Commission to such revision. The Fund Manager shall notify the Trustee of such revision and forward a copy of the approval request letter to the Trustee. The approval request letter to the Commission and notification letter to the Trustee shall also state the Fund Manager's immediate outlook for the Fund as well as the timeframe within which they expect to re-balance the Fund in line with the asset allocation stipulated in clause 10.5 above. Provided that where the Commission's approval is not obtained within two (2) months of delivery of the approval request to the Commission, the Fund Manager shall immediately adjust the asset allocation as provided in clause 10.5 above.

11. INVESTMENT POLICY

11.1 Subject to clauses 10.5 and 12, the Fund may be invested in equities, fixed income securities (including bankers' acceptances, guaranteed commercial paper, fixed deposit, repurchase agreements, asset-backed securities and securities issued by the Federal Government and its agencies).

11.2 The Fund Manager shall not alter the Investment Policy of the Fund without the consent of the Trustee and approval of the Commission or a Special Resolution of a Meeting of Unit Holders duly convened and held in accordance with the provisions contained in the First Schedule hereto and subject to the approval of the Commission.

11.3 All investments shall be made from the FBN Trustees/PACAM Balanced Fund Cash Account.

12. RIGHT TO DECIDE ON INVESTMENTS

12.1 Subject to the provision of section 171 of the ISA and the Trustee Investments Act, the Fund Manager shall subject to the prior consent of the Trustee, have the right to decide as to the purchase, selection, sale or alteration of any investments under the provisions of this Trust Deed.

12.2 Save pursuant to an offer made jointly to all Unit Holders of units of another authorised unit trust scheme (as defined by section 152 of the ISA) for the exchange of such Units or the cash or other property represented thereby for Units of the Fund neither the Trustee nor the Fund Manager nor any Associated Persons of either shall, as principal, sell or deal in the sale of investments to the Trustee for account of the Fund or vest Authorised Investments in the Trustee upon the issue of Units and the Trustee and the Fund Manager shall use reasonable endeavours to procure that no such sale or dealing or vesting shall be made by any directors of the Trustee or the Fund Manager or of any Associated Persons PROVIDED that the restriction imposed by this clause shall not apply to any sale or dealing or vesting in connection with the provision of the initial portfolio of investments by the Fund Manager.

13. RESTRICTIONS ON INVESTMENTS

No investments shall be made by the Fund Manager if the investment would cause the value of part of the Fund invested to exceed one-tenth (1/10) of the total value of the Fund provided that where the investment is in equities such investment shall not exceed one-twentieth (1/20th) or five *per cent* (5%) of the net asset value of the Fund.

13.1 The Fund Manager shall not undertake any dealing in or retention of any underlying securities of any company, if the officers of the Fund Manager or its associated person or subsidiary company own as beneficiary more than zero point five *per cent* (0.5%) each of the securities of such company and together more than five *per cent* (5%) of the securities of that particular company.

13.2 Neither the Fund Manager, the Trustee, Custodian nor any of their affiliates shall deal as principals in any sale of the Fund's underlying assets.

13.3 The Fund Manager shall not invest in any securities that are not transferable.

13.4 No part of the Fund shall be invested in any units or securities of any collective investment scheme or any in-house investments of the Fund Manager, the Trustee or their associates.

13.5 Notwithstanding clause 10.5.2, no more than twenty *per cent* (20%) of the Fund shall be invested in Eurobonds.

13.5 The Fund shall not purchase securities on margin or engage in short sales of securities.

14. RISK FACTORS

All investments involve certain risks occasioned by uncertainty and unpredictability of the future. The performance of the Trust will thus be subject, among other things, to the pursuance of political/economic stability and sustainable growth and development by the Government of the Federal Republic of Nigeria. The Fund Manager has no control over these conditions and shall not indemnify any investor on the occurrence of any adverse political/economic condition affecting the Investment. Although, the Fund Manager shall exercise all necessary duty of care and precautionary steps in investing the Trust's money in accordance with the Fund's risk management process, it does not guarantee that such objective of the Fund will be attained. The Fund Manager's risk management process entails assessing risks using a risk control matrix to determine the level of potential harm to portfolio that can occur as a result of inclusion of a particular security. The risk matrix assigns probabilities based on research outcomes and this is used as an input in the underweighting or overweighting of securities in the portfolio.

15. TAXATION

Further to the "exemption from payment of tax" status accorded to dividend distribution by Unit Trusts by virtue of section 19(1)(f) of CTA, no taxes shall

be or become payable by Unit Holders on income accruing to them from the Fund.

16. CUSTODY OF INVESTMENTS AND CASH

The Custodian shall at all times retain in its own possession or that of its agents in safe custody all documents of title or value connected therewith and the Custodian shall be responsible for the safe custody of all cash and bank accounts and so far as practicable the realization of Income. PROVIDED always that notwithstanding anything herein contained the Custodian shall remain liable for any act or omission of any agent or nominee in relation to any Investment of which the agent or nominee is registered as proprietor or of which he retains the documents of title or value.

17. REALISATION OF INVESTMENTS

Any monies accruing from disposed investments of the Fund shall be treated as realised investments. The Fund Manager shall have the discretion subject to the agreed investment guidelines to reinvest any realised investment comprised in the Fund Property in other approved investments at any time PROVIDED ALWAYS THAT the Fund Manager complies with the principles of diligence and prudence in exercising this discretion and in accordance with section 171 of the ISA.

18. CHANGE OF INVESTMENTS

18.1 It shall not be necessary for either the Fund Manager or the Trustee to effect any change of investments by reason of any appreciation in the value or the aggregate of the value of any investments in any one company or body or of any security or any depreciation in the value either by:

18.1.1 the receipt by the Trustee or its nominees of any rights, bonuses or benefits in the nature of capital;

18.1.2 any scheme of arrangement for amalgamation, reconstruction conversion or exchange; or

18.1.3 any repayment or redemption (including, in the case of debentures or debenture stock following the purchase thereof by that company or body).

18.2 The Fund Manager shall not purchase any additional investments which would result in any of the said limits being exceeded. If at any time the Fund Manager determines to sell any investments for the purpose of a reduction of the Fund, it shall before selling any other investment sell so much of the investment or investments in respect of

which any of the said limits may be exceeded as is necessary to effect the reduction.

19. ACQUISITION AND DISPOSAL OF UNITS AND NEW UNITS

19.1 The Units of the Fund shall be issued at the initial Offer Price of ₦1.00 per Unit or the equivalent amount in Foreign Currency and subscription of the Units by [Local or Foreign Currency] Subscribers shall be in the manner stated in the Prospectus and shall be subject to the minimum subscription of 50,000 Units and in multiples of 10,000 Units thereafter.

19.2 The Fund Manager as promoter of the Fund, shall subscribe to not less than five *per cent* (5%) of the Units on offer and shall hold such Units for the duration of the scheme;

19.3 Subject to the provisions of this Trust Deed, the Fund Manager shall commence the issuance of New Units at the Offer Price and the issue of the New Units shall be on an on-going basis, subject to the following conditions:

19.3.1 existing Unit Holders shall subscribe to a minimum of 50,000 Units for the initial application for New Units and thereafter in multiples of 10,000 Units;

19.3.2 new investors shall subscribe to a minimum of 50,000 Units and thereafter in multiples of 10,000 Units; and

19.3.3 all Foreign Currency Subscribers shall subscribe to a minimum of 50,000 Units and thereafter in multiples of 10,000 Units;

PROVIDED however that the Fund Manager may in its discretion stipulate such other minimum number of Units as it may from time to time prescribe in writing subject to the approval of the Trustee.

19.4 Without prejudice to the provisions of this Trust Deed, the Fund Manager shall subject to registration with the Commission, effect the issue of New Units for cash or in total or partial exchange for Authorised Investments and such cash or Authorised Investments received shall be vested in the Trustee.

19.5 On a monthly basis or at such intervals as the Trustee may from time to time request, the Fund Manager shall furnish the Trustee with a statement of all issues and sale(s) of Units, specifying the price(s) at which such Units were sold or issued PROVIDED ALWAYS that the Fund Manager shall furnish such other information that may be necessary to enable the Trustee establish the value of the Fund Property at the date specified by any such request of the Trustee.

20. REDEMPTION OF UNITS

20.1 Except as provided herein there is no restriction on Unit Holders' access to their investment proceeds by way of redemption of Units. Unit Holders can redeem their Units in the Fund by giving a Redemption Notice to the Fund Manager. The form of Redemption Notice shall be as set out in the Third Schedule hereof.

20.2 Redemption shall be effected at the Bid Price as of the Business Day immediately following the receipt of the Redemption Notice by the Fund Manager. No additional charges will be required on redemption except for Units redeemed within ninety (90) days from the allotment, in which case an administrative fee of ten *per cent* (10%) of the positive total returns on the Units redeemed on the day of redemption will be charged. Unit Holders seeking to redeem only a part of their holding would be required to maintain a minimum on-going investment of 10,000 Units in the Fund or such other minimum number of Units as may from time to time be prescribed in writing by the Fund Manager with the approval of the Trustee except in the event of total redemption of holdings. Such redemption may be effected by Bank Transfers within five (5) business days of the receipt of the redemption notice. Where such redemption is not effected by Bank Transfers, cheques in respect of each redemption shall be available for collection within five (5) Business Days of the receipt of the Redemption Notice.

20.3 Units may be redeemed on any Business Day provided Redemption Notices are received before 5.00 p.m. on the Valuation Day. Notices received after 5.00 p.m. shall be treated the following Business Day. The price at which Units are to be redeemed shall be as at the date of treatment. The Fund will make redemption payments within five (5) Business Days of receipt of the Redemption Notice.

20.4 No Unit Holder shall be entitled to partially redeem his Unit-Holding where such redemption would result in his holding being reduced to less than the minimum number of Units and sub-clauses 20.5 - 20.6 are to be read and construed subject thereto.

20.5 Where realisation is to be effected by cancellation of Units, the Fund Manager shall proceed to effect any sales necessary to provide the cash required and shall notify the Registrar that the said Units are to be redeemed and cancelled in accordance with the provisions of this clause and shall deliver to the Registrar for cancellation the Fund Statement covering the said Units and in such event the Fund shall be reduced by the cancellation of the said Units and the Fund Manager

may receive reimbursements out of the Fund Property in respect of the cancellation of the Units.

20.6 The Fund Manager shall be entitled to endorse on the appropriate Fund Statement in respect of any Units to be redeemed, such statement as may be necessary or desirable as evidence that the Unit Holder no longer has any interest in the said Units. PROVIDED that in either event the Fund Manager shall within a reasonable period thereafter furnish to the Registrar the authority under which they acted but the Registrar shall not be concerned to require the endorsement of any such statement and shall be entitled to cancel the Fund Statement upon compliance with the procedure in this clause.

20.7 Unless specifically requested by the Unit Holder or former Unit Holder concerned so to do, the Registrar shall be under no obligation to check the calculation of the amount payable in connection with any purchase or cancellation of Units pursuant to this clause but shall be entitled to require the Fund Manager and or the Trustee to justify the same.

20.8 In no event shall the Trustee be bound to make any payment to the Fund Manager or any Unit Holder except out of the Fund Property held by it for that purpose under the provisions of this Trust Deed.

20.9 Units redeemed by the Fund Manager may be re-sold.

21. TRANSFER OF UNITS

21.1 Every Unit Holder shall be entitled to transfer the Units or any of the Units held by him by an instrument in writing in the form set out in the Fourth Schedule hereof (or in such other form as the Trustee may from time to time approve) or required by applicable law PROVIDED that no transfer of part of a holding of Units shall be registered if in consequence thereof either the transferor or the transferee would be the holder of a number less than the Minimum Number of Units.

21.2 Units shall only be transferred in multiples of 10,000 or such number of Units as may for the time being generally or otherwise, be prescribed in writing by the Fund Manager with the approval of the Trustee.

21.3 Every instrument of transfer must be signed by the transferor and the transferee and subject to the provisions of sub-clause 21.7 the transferor shall be deemed to remain the Unit Holder of the Units transferred until the name of the transferee is entered in the Register in respect thereof. The instrument of transfer need not be a deed.

21.4 Every instrument of transfer must be duly stamped and lodged with the Fund Manager for transmission to the Registrar accompanied by any

necessary declarations or other documents that may be required in consequence of any regulation or legislation for the time being in force and the Fund Statement or Fund Statements relating to the Units to be transferred and such other evidence as the Registrar may require to prove the title of the transferor or his right to transfer the Units and thereupon the Registrar shall register the transferee as Holder of the Units referred to in such instrument of transfer and shall issue to such transferee a new Fund Statement representing the Units so transferred.

21.5 All instruments of transfer which shall be registered may be retained by the Registrar or by the Fund Manager on their behalf.

21.6 In the case of a transfer in favour of the Fund Manager, the Registrar shall upon registration thereof, amend the Register in respect of the Units transferred and remove the name of the Unit Holder from the Register in respect of such Units but the name of the Fund Manager need not be entered in the Register as the Unit Holder of such Units nor a Fund Statement issued thereof. Such removal shall not be treated for any purposes of this Trust Deed as a cancellation of the Units or as withdrawing the same from issue.

21.7 A receipt signed or purported to be signed by the Unit Holder in respect of any monies payable in respect of the Units represented by any Fund Statement shall be a good discharge to the Trustee and the Fund Manager and if several persons are registered as Joint Unit Holders or in consequence of the death or bankruptcy of a Unit Holder, are entitled so to be registered any one of them may give an effectual receipt for any such monies.

22. SUPPLEMENTAL POWERS OF TRUSTEE

22.1 With respect to the Fund Property, the Trustee shall have all the rights and powers conferred upon a Trustee by the Trustee Act 1893, Trustee Investments Act and other relevant laws as though the same were expressly set out herein.

22.2 The powers hereby conferred on the Trustee shall be in addition to any powers which may from time to time be vested in the Trustee by general law or as holder of the Fund Property in so far as the same does not and shall not conflict with the rights and powers vested on the Fund Manager by virtue of this Trust Deed. The Trustee in the exercise of the powers and discretion vested in it by this Trust Deed shall comply with the provisions of the Act, all regulations, rules and guidelines made pursuant thereto.

23. APPOINTMENT AND REMOVAL OF REGISTRAR

23.1 The Fund Manager may with the consent of the Trustee appoint a Registrar for the purposes contemplated in clause 24 and the Fifth Schedule hereof.

23.2 Where the Fund Manager, for good and sufficient reason is of the opinion that a change of Registrar is desirable in the interest of the Unit Holders it shall, with the consent of the Trustee, notify the Registrar accordingly and the Registrar shall within the period prescribed transfer all records, Fund Statements, documents and registers kept or maintained by it with regards to the Fund to the Fund Manager and the Fund Manager will thereafter take such steps as may be necessary to appoint a new Registrar for the Fund PROVIDED however that any appointment of a new Registrar will be subject to the prior approval of the Commission and notice of such change or appointment shall be advised to Unit Holders in the manner provided by clause 41 hereof within five (5) Business Days of the date such change or appointment takes effect.

24. REGISTRATION OF UNIT HOLDERS

24.1 A Register of Unit Holders shall be kept by the Registrar.

24.2 The Register shall contain the names and addresses of Unit Holders, the number of Units held, the nominal value, the date of purchase, the Unit Holders' reference number and any other information that may be deemed necessary by the Fund Manager. Where there are joint Unit Holders, their respective names and addresses may be inserted provided that not more than two (2) Unit Holders shall be entered in the Register in respect of any one Unit Holding.

24.3 Any change of name or address on the part of any Unit Holder shall forthwith be notified in writing to the Registrar who on being satisfied thereof and in compliance with all such formalities as it may require shall cause the Register to be altered or the change to be registered accordingly.

24.4 A Unit Holder shall be entitled during business hours to inspect the Register at no cost, upon giving at least one Business Day's prior written notice to the Registrar. PROVIDED ALWAYS that for the purposes of this sub-clause, the production of a legible copy of the contents of the Register shall be satisfactory proof of the contents where such Register is maintained in or by some mechanical or electronic systems.

24.5 The Register shall be conclusive evidence of the persons entitled to the Units evidenced by Fund Statements. Any person claiming to be

interested in any Units or the distributions on them may protect his interest, by serving on the Fund Manager a notice and an affidavit of interest. The Registrar shall thereafter cause to be entered in the Register the existence of such notice and shall not register or make a payment or return(s) in respect of the Units covered by the notice, save as herein otherwise provided for or as ordered by a competent court or as required by applicable statute and the Registrar shall not be bound to recognise the rights attaching to or incidental to the notice.

24.6 A body corporate may be registered as a Unit Holder or one of joint Unit Holders.

24.7 In the event of the death of a Unit Holder only the legally appointed executors or administrators of the estate of the deceased Unit Holder (not being one of joint Unit Holders) or the surviving Unit Holder(s) of joint Unit Holders shall be recognised by the Registrar as having any title to or interest in the deceased Unit Holder's Units.

24.8 Any person becoming legally entitled to any Units in consequence of the death or bankruptcy or dissolution or winding up of any Unit Holder or upon a declaration that a Unit Holder is a lunatic shall upon producing such evidence to the satisfaction of the Registrar substantiating his claim and on delivering up the Fund Statement(s) of the deceased, bankrupt or lunatic Unit Holder or resolution of dissolution or winding up to the Registrar for cancellation be entitled to elect either to be registered himself or to have some other persons nominated by him registered as entitled to such Unit(s) and to have a new Fund Statement(s) issued accordingly. If the person so becoming entitled shall elect to be registered himself or if he shall elect to have some other persons nominated by him, he shall deliver or send to the Registrar notice in writing in a form to be prescribed by the Registrar and signed by such person stating that he so elects to be registered and he shall testify his election by executing to such other person a transfer of such Units. All the provisions of this Deed relating to transfers of Units shall be applicable to any such notice or transfer as aforesaid as if the lunacy or death or bankruptcy or dissolution or winding-up of the Unit Holder had not occurred and the notice or transfer were a transfer executed by such Unit Holder.

24.9 Any person becoming entitled to Units in consequence of the death or bankruptcy or dissolution or winding up of a Unit Holder shall once he has offered sufficient evidence of such entitlement to the Registrar even if actual registration has not yet taken place be entitled to receive and may give a discharge for monies payable in respect of such Units. However, such person shall not be entitled to all the other rights of a Unit Holder until he shall have been registered in respect of the Unit(s).

24.10 No fee shall be charged in respect of the registration of any probate letters of administration power of attorney, certificate of marriage or death, Order of the Court, deed poll resolution or other document affecting the transmission of any Units or distribution in respect thereof.

24.11 The number of Units held by a Holder shall be registered and recorded by the Registrar as an electronic book entry.

24.12 The Register may be closed at such times and for such periods as the Fund Manager with the consent of the Trustee determine and upon giving to the Unit Holders at least two weeks' notice of intention to close same by publication in at least two national daily newspapers.

25. ISSUE OF FUND STATEMENTS

Fund Statements may be issued in respect of any denomination provided that a person shall not be registered in respect of less than 10,000 Units or any other number of Units as may otherwise be prescribed by the Fund Manager. The Registrar shall issue a Fund Statement to a Unit Holder within seven (7) days of the purchase, transfer or redemption of Units (as the case may be).

26. FORM OF FUND STATEMENTS

A Fund Statement shall specify the number of Units represented thereby and shall be in such form as prescribed in the Second Schedule hereof or such other form as the Trustee and Fund Manager may agree.

27. PREPARATION OF FUND STATEMENTS, CHEQUES AND WARRANTS *ETC.*

27.1 It shall be the duty of the Registrar to prepare and dispatch all Fund Statements and to prepare, dispatch and pay all cheques and warrants.

27.2 The Fund Manager shall prepare all notices, accounts, summaries, declarations, offers or statements which the provisions herein contained require to be prepared, issued, served or sent.

28. VOTING RIGHTS ON FUND PROPERTY

28.1 All rights of voting conferred by any investments forming part of the Fund Property shall be exercised in such manner as the Trustee may in writing direct. No Unit Holder shall have any right to interfere or complain except in cases where a breach of a specific clause of this Trust Deed or of any applicable law is manifest. The Trustee shall upon written request by and at the expense of the Fund Manager from time to time execute and deliver or cause to be executed or delivered to the Fund Manager or its nominees such powers of attorney or proxies in

such name or names as the Fund Manager may request authorizing such attorneys and proxies to vote, consent or otherwise act in respect of all or any part of the Fund Property.

28.2 The Trustee shall be entitled to exercise the said rights in what it considers to be the best interest of the Unit Holders but subject to section 168 of the ISA. Neither the Fund Manager nor the Trustee shall be under any liability or responsibility therefore in respect of the management of the investment in question or in respect of any vote, action or consent given or taken or not given or taken by the Fund Manager whether in person or by proxy and neither the Trustee nor the Fund Manager nor the Unit Holder or any such proxy or attorney shall incur any liability or responsibility by reason of any error of law or mistake of fact or any matter or thing done or omitted, approved, voted or given or withheld by the Trustee or Fund Manager or by the Unit Holder by reason of any error of law or mistake of fact or any matter or thing done, omitted or approved, voted or given or withheld by the Trustee or deed and the Trustee shall be under no obligation to anyone with respect of any action taken or caused to be taken or omitted by the Fund Manager or by any such proxy or attorney provided that the Fund Manager and/or Trustee (has) have exercised a high degree of care and diligence.

28.3 The phrase "right of vote" or the word "vote" used in this clause shall be deemed to include not only a vote at a meeting but any consent to or approval of any arrangement scheme or resolution or any alteration in or abandonment of any rights attaching to any part of the Fund Property and the right to requisition or join in a requisition to convene any meeting or to give notice of any resolution or to circulate any statement. For the avoidance of doubt, the Fund Manager shall not be entitled to exercise any voting rights in relation to any requisition to convene a meeting or exercise any voting rights at a meeting of Unit Holders.

28.4 The Trustee shall when necessary forward to the Fund Manager all notices of meetings, reports, circulars and other documents of a like nature received by it or its nominee as a registered Unit Holder of any investment.

29. DISTRIBUTION OF INCOME/REINVESTMENT

29.1 The income of the Fund less any sums properly chargeable on or deductible therefrom ("Net Income") may either be reinvested in the Fund or distributed to the Unit Holders annually.

29.2 Subject to any recommendation that may be made by the Fund Manager, the Fund Manager shall effect the distribution as proposed in the annual audited accounts and approved by SEC.

29.3 Where in the opinion of the Fund Manager, the Fund has realised such profits as to allow any surplus income to be distributed in the interim in addition to the distribution under clause 29.1, the Fund Manager shall pay to the Unit Holders such interim dividends in the form of new Units or cash as each Unit Holder may elect and as appear to be justified by the profits of the Fund.

29.4 The Unit Holders shall have the option to elect to be paid dividends or to reinvest their dividends in new Units at the Offer Price.

29.5 Unit Holders who elect to have their dividends reinvested in new Units shall be entitled to an issue of Units that shall be equal in value to the amount they otherwise would have received in cash as dividend.

30. TRUSTEE'S AND FUND MANAGER'S INDEMNITIES, RIGHTS, POWERS AND DISCRETION

Without prejudice to the provision of section 168 of the ISA:

30.1 The Trustee and the Fund Manager shall not be responsible for the authenticity of any transfer or form of application, endorsement or other documents affecting the title to or transmission of Units or be in any way liable for any forged or unauthorised signature on or a seal affixed to such endorsement, transfer or other document or for acting on or giving effect to any such forged or unauthorised signature or seal affixed PROVIDED that they have exercised due care and diligence in examining the signature.

30.2 Neither the Trustee nor the Fund Manager shall incur liability in respect of any action or omission by it in good faith in reliance upon any notice, resolution, direction, consent, Fund Statement, affidavit, statement, certificate of stock plan or re-organisation or other paper or document believed to be genuine and to have been passed, sealed or signed by the proper parties.

30.3 Neither the Trustee nor the Fund Manager shall incur liability to the Unit Holders for doing or failing to do any act or thing which by reason of any provision of any present or future law or regulation made pursuant thereto or of any decree order or judgment of any Court or by action (whether of binding legal effect or not) which may be taken or made by any person or body acting with or purporting to exercise the authority of any government (whether legally or otherwise) where

the Trustee or Fund Manager shall be directed or requested to do or perform or to forbear from doing or performing.

30.4 The Trustee, Registrar and the Fund Manager shall be entitled to require that the signatures of any Unit Holder or joint Unit Holders to any document required to be signed by him or them under or in connection with this Trust Deed shall be verified by a banker or broker or other responsible person or otherwise authenticated to their reasonable satisfaction.

30.5 The Trustee shall not by reason of its office be precluded from purchasing, holding, dealing in or disposing of Units nor from contracting or entering any financial, banking or other transaction with the Fund Manager or any Unit Holder or any company or body with an interest in any Unit(s) or from being interested in any such contract or transaction or from holding any shares or any investment in any such company or body. The Trustee shall not except as otherwise herein provided be in any wise or way liable to account either to the Fund Manager or to the Unit Holders or any of them for any profits or benefits made or derived by the Trustee thereby or in connection therewith.

30.6 The Trustee shall not be under any obligation to appear in, prosecute or defend any action or suit in respect of the provisions hereof or in respect of the Fund Property or any part thereof or take part in or consent to any corporate action which in its opinion might involve them in any expense or liability.

30.7 Subject to the prior written consent of the Commission and Trustee in each case, the Fund Manager may from time to time for the account of the Fund enter into underwriting and sub-underwriting contracts in relation to the subscription or purchase of Investments upon such terms in all respects as it shall think fit and all commissions or other fees received by the Fund Manager and all Investments or cash acquired pursuant to any such contract shall form part of the Fund Property.

30.8 Nothing herein shall prevent the Trustee or any Associated Person(s) of the Trustee from contracting or entering into any financial, banking or other transaction with the Fund Manager or any Associated Person(s) of the Fund Manager or any Unit Holder or any company or body any of whose shares or securities form part of the Fund Property or from being interested in any such contract or transaction. The Trustee or any Associated Person(s) thereof shall not be liable to account to the Fund Manager or the Unit Holders or any of them for any profit or benefit made or derived from or in connection with any such transactions.

30.9 The Fund Manager shall not be liable to account to any Unit Holder or otherwise for any payment made or suffered by the Trustee in good faith nor to any duly empowered fiscal authority of Nigeria or elsewhere for taxes or other charges in any way arising out of or relating to any transaction of whatsoever nature under this Trust Deed notwithstanding that any such payments need not have been made or suffered.

30.10 The Trustee shall not be under any liability on account of anything done or suffered by it in good faith in accordance with or in pursuance of any request, notice, direction or advice of the Fund Manager. Whenever a notice or other communication is to be given by the Fund Manager to the Trustee the latter is entitled to accept as sufficient evidence thereof a document signed on behalf of the Fund Manager by any person whose signature the Trustee is for the time being authorised in writing by the Fund Manager to accept.

30.11 The Trustee shall as regards all the powers and discretion vested in it by this Trust Deed have absolute and uncontrolled discretion as to the exercise or non-exercise thereof and in the absence of fraud and negligence the Trustee shall not in any way be responsible for any loss, costs or damages that may result from the exercise or non-exercise thereof.

30.12 The Trustee may act upon the advice, statement or information obtained from stockbrokers, accountants, lawyers, bankers or other persons believed by the Trustee in good faith to be experts in the matters on which they have been consulted whether instructed by the Trustee or Fund Manager and the Trustee shall not be liable for anything done or omitted or suffered to be done by it in reliance upon such advice statement or information.

30.13 The Trustee shall not be responsible for any misconduct, mistake, oversight or error or want of judgment or want of prudence on the part of any lawyer, banker, accountant, broker or other person acting hereunder as agent or adviser of the Trustee save to the extent that such agent or adviser was acting on the instruction of the Trustee and within the course and scope of its appointment. PROVIDED that the Trustee shall be entitled to be indemnified by such agent or adviser.

30.14 The Fund Manager shall not be liable to make any payment hereunder to any person except out of the moneys of the Fund set aside for that purpose.

30.15 If for any reason it becomes impossible or impracticable to carry out any of the provisions of this Trust Deed, neither the Fund Manager nor

the Trustee shall be under any liability thereof or thereby. Neither shall they incur liability for any error of law in the absence of fraud or negligence in connection with any matter or thing done or suffered to be done or omitted to be done by them in good faith. PROVIDED ALWAYS that nothing in this section may be construed as exempting the Trustee or Fund Manager from or indemnifying the Trustee or Fund Manager against liability for breach of trust arising from any fraudulent or negligent act or omission on their part or any other breach of their duty hereunder.

30.16 The Fund Manager shall not be under any liability except such liability as may be expressly assumed by it under this Trust Deed or imposed by law nor shall the Fund Manager (save as herein otherwise appears) be liable for any act or omission of the Trustee or for anything except its own breach of duty hereunder.

30.17 In no event shall the Trustee be bound to make any payment to any person except out of the funds held by it for that purpose under the provisions of this Trust Deed.

30.18 The Trustee shall not be responsible for acting upon any Resolution purporting to have been passed at the meeting of the Unit Holders in respect whereof minutes shall have been made and signed even though it may be subsequently found that there was some defect in the constitution of the Meeting or the passing of the resolution or that for any reason the resolution was not binding upon all the Unit Holders.

30.19 The Trustee covenants that with the exception of the selection of investments, effective control over the affairs of the Fund shall be vested in it and will be exercised by it independently of any other person except as otherwise set out herein.

30.20 Subject to the power of the Trustee and Unit Holders to prevent or complain of breaches of this Trust Deed or of applicable law, the selection of all investments whether partly paid or not and the retention of cash shall in all respects be the sole responsibility of the Fund Manager who shall exercise due diligence and prudence in its selection process having due regard to the investment policy of the Fund in such selection.

30.21 The Fund Manager shall be entitled, subject to the consent of the Trustee, to delegate to any person, firm or corporation upon such terms and conditions as it may think fit all or any of its powers and discretion in relation to the selection, acquisition, holding and realisation of investments and applications of any monies forming part of the Fund Property PROVIDED that the Fund Manager shall remain liable hereunder for any act or omission of any such person, firm or

corporation in relation to the exercise or non-exercise of any powers or discretion so delegated as if the same were an act or omission of the Fund Manager.

30.22 In all the above cases, the Fund Manager and Trustee will exercise the maximum degree of care and diligence. The Trustee will be held liable for breach of its duties where it fails to carry out its responsibilities under this Trust Deed or report breach of the terms of this Trust Deed to the Commission not later than ten (10) days following the breach.

31. TRUSTEE'S DUTIES

The Trustee shall:

31.1 ensure that the basis on which the sale, issue, repurchase or cancellation as the case may be, of Units under this Trust is calculated and carried out in accordance with the ISA and the Rules and Regulations issued pursuant thereto and this Trust Deed;

31.2 exercise independent control over the affairs of the Fund and exercise all of its powers in the best interest of the Unit Holders;

31.3 notify the Commission promptly of any proposed changes in the management of the Fund;

31.4 verify that in transactions involving the Fund Property, any consideration is remitted to the Fund within the time limits obtainable under the usual market practice and that income accruals of the Fund Property are applied in accordance with the law and this Trust Deed;

31.5 enquire into, prepare and send to both the Fund Manager and the Commission, in good time, a report on the administration of the Trust by the Fund Manager during each Financial year;

31.6 report to the Fund Manager any irregularity concerning the Trust of which it is aware of and in a case where such irregularity is not rectified by the Fund Manager, it shall report such irregularity to the Commission as soon as possible; and

31.7 satisfy itself that every income statement, balance sheet or other return prepared by the Fund Manager in accordance with section 169 of the ISA is a fair representation of the assets and liabilities as well as the income and distribution of income of the Fund.

32. FUND MANAGER AND TRUSTEE ACTING FOR OTHER TRUSTS

The Fund Manager and the Trustee shall be entitled whether in conjunction or separately to establish and act as Fund Manager or Trustee for trusts separate and distinct from this Trust.

33. PAYMENTS TO THE TRUSTEE, FUND MANAGER AND CUSTODIAN

33.1 The Fund Manager shall on behalf of the Fund pay all traveling and other costs, Charges and expenses that the Trustee or Fund Manager shall reasonably incur in connection with the execution of the Trust hereof and in the exercise of the powers and discretion hereby vested in it.

33.2 All such costs, expenses, Charges or remuneration due to the Trustee shall be payable to the Trustee. However, the Trustee shall where practicable provide the Fund Manager with invoices/receipts for all expenses incurred.

33.3 The Fund Manager shall on behalf of the Fund pay the Trustee all sums owing to the Trustee in respect of remuneration (which shall be computed and accrue on a daily basis according to the following formula: (0.2% x Net Asset Value x 1/365). The Trustee's remuneration shall be payable in arrears semi-annually on July 1 and January 1 respectively.

33.4 The Fund Manager shall pay to the Custodian an annual fee of zero point one *per cent* (0.1%) of the Fund's assets under custody calculated monthly and realized quarterly, over the tenure of the Custody Agreement of the Fund.

33.5 The Fund Manager's remuneration shall be an annual management fee of not more than one *per cent* (1%) of the Fund's Net Asset Value, payable quarterly in arrears and subject to any change consented to by the Trustee and the Commission.

33.6 Where the total returns of the Fund exceed ten *per cent* (10%) of the Net Asset Value of the Fund, the Fund Manager shall be entitled to an incentive fee of twenty *per cent* (20%) of the profits in excess of ten *per cent* (10%) of the Net Asset Value of the Fund, subject to the limit on costs and expenses set out in Clause 33.7 below.

33.7 The initial costs of establishing the Fund, estimated at ₦29,942,500.00 (Twenty Nine Million, Nine Hundred and Forty Two Thousand, Five Hundred Naira only), representing two point nine nine (2.99%) of the fund size, will be offset from the proceeds of the Offer while other

annual costs and expenses to be borne by the Fund will be met from the Fund Property and shall not exceed five *per cent* (5%) of the Fund's Net Asset Value. These initial and other annual costs include audit fees, legal fees, consulting and other fees and Charges incidental to the running of the Fund.

34. CONDITIONS FOR EFFECTING TRANSACTIONS OR DEALINGS

Notwithstanding anything herein contained, the Trustee, Fund Manager and/or any other party shall not be required to effect any transaction or dealing with any Unit Holder or with any part of the investments of the Fund Property on behalf or for the benefit or at the request of any Unit Holder unless such Unit Holder shall first have paid to the Trustee, Fund Manager or such other party to its or their satisfaction as the case may be such amount sufficient to cover all duties and charges and any necessary stamp duty which may have become or may be payable in respect of or prior to or upon the occasion of such transaction or dealing PROVIDED ALWAYS that the Trustee, Fund Manager or such other party shall be entitled to as it or they may think fit pay and discharge all or any of such duties charges or stamp duty on behalf of the Unit Holder and to retain the amount so paid out of any money or property to which such Unit Holder may be or become entitled in respect of his Unit or otherwise however hereunder.

35. COVENANTS BY THE FUND MANAGER

The Fund Manager hereby covenants with the Trustee as follows:

35.1 It shall not make a profit for itself from transactions in any assets held under the Fund.

35.2 It or any company which is its subsidiary or holding company shall not borrow money on behalf of the Fund for the purpose of acquiring securities or other property for the Fund.

35.3 It shall not lend money that is subject to this Fund to a person to enable him to purchase Units of the Fund.

35.3 It shall not mortgage, charge or impose any other encumbrance on the Fund Property.

35.4 It shall not engage in any transactions with respect to or for the Fund that are not in the best interests of Unit Holders and of the Fund.

35.5 It shall not deviate from or alter the Investment Policy of the Fund without due recourse to the provisions of the law on same and PROVIDED ALWAYS that it shall obtain the prior approval of the Commission therefor.

35.6 It shall exercise due prudence in all its dealings with the monies and accounts of the Fund.

35.7 It shall give written notice to the Commission of any proposal to alter the Trust Deed or replace the Trustee as required by section 187 of the ISA.

35.8 It shall maintain proper books of accounts, remit quarterly statements of the books of the Fund to the Trustee within 21 days of the end of every calendar quarter and provide to the Trustee such necessary information as the Trustee may require from time to time in respect of the Fund upon the receipt of a written request from the Trustee.

36. REMOVAL OR RETIREMENT OF FUND MANAGER

36.1 The Fund Manager may, upon furnishing good and sufficient reasons or grounds or where it shall no longer be interested or capable of managing the Fund, retire from the management of the Fund.

36.2 In the event of the Fund Manager desiring to retire, the Trustee shall use its reasonable endeavours to find a new Fund Manager. If within six (6) months of notice by the Fund Manager seeking to retire, no suitable replacement Fund Manager is identified, the Trustee may terminate the Fund by six (6) months' notice to this effect issued to the Unit Holders, Fund Manager and the Commission.

36.3 Where the Fund Manager loses its authority to act as such under applicable law or is in fact incapable of acting as such or goes into liquidation (except for a voluntary liquidation for the purpose of reconstruction or amalgamation upon terms previously approved in writing by the Trustee) or if a receiver is appointed over any of its assets, the Fund Manager shall be subject to removal by ninety (90) days' notice in writing given by the Trustee PROVIDED THAT in every case the proposed removal has been approved by the Commission or one (1) month has passed since notice was served on the Commission without the Commission having notified the Trustee that the proposed removal is not approved before service on the Fund Manager.

36.4 In any of the cases, the Fund Manager shall upon notice by the Trustee *ipso facto* cease to be the Fund Manager and the Trustee shall by writing under its seal subject to approval by the Commission appoint some other qualified company to be the Fund Manager. Such company shall enter such deed or deeds as the Trustee may be advised as necessary or desirable to be entered by such company in order to secure the due performance of its duties as Fund Manager which deed or deeds shall if so required by the retiring Fund Manager provide that

the Fund shall as soon as practicable cease to use the word "PACAM Balanced Fund" in its name and that neither the Trustee nor the new Fund Manager shall hold themselves out as being connected with the retiring Fund Manager in any way and furthermore shall provide that the Fund Manager to be appointed hereunder shall purchase from the retiring Fund Manager all Units of which it is Unit Holder or deemed to be Unit Holder at the Bid Price.

37. REMOVAL OR RETIREMENT OF THE TRUSTEE

37.1 In the event of the Trustee desiring to withdraw or retire from the Fund:

37.1.1 the Trustee shall give to the Fund Manager and the Commission not less than three (3) months' notice of such intention stating the reasons for the withdrawal; and

37.1.2 the Fund Manager shall use its best endeavours to find a new Trustee within the said three (3) months of notice by the Trustee to retire. The new Trustee(s) shall be an incorporated company registered with the Commission and approved by a Special Resolution of the Unit Holders. If no new Trustee can be identified within that period, the Commission may, after consultation with the Fund Manager, direct the Fund Manager to appoint as trustee a competent person nominated by the Commission.

37.2 The Trustee shall be subject to removal by notice in writing from the Fund Manager in any of the following circumstances PROVIDED THAT in each case the Fund Manager shall give notice to the Commission giving reasons for the removal and the proposed removal has been approved by the Commission and PROVIDED ALSO that the Fund Manager gives reasons for the suitability of the new trustee to be appointed in the Trustee's place:

37.2.1 if Unit Holders holding not less than seventy five *per cent* (75%) of the Units outstanding deliver to the Fund Manager a request in writing that the Trustee should retire;

37.2.2 if the Trustee goes into liquidation (except for a voluntary liquidation for the purpose of reconstruction or amalgamation upon terms previously approved in writing by the Fund Manager and the Commission) or if a receiver is appointed over any of its assets;

37.2.3 if in the opinion of the Fund Manager which opinion is confirmed by Unit Holders holding a simple majority of the

Units outstanding the Trustee shall be incapable of performing or shall in fact fail to perform its duties satisfactorily or shall do any other thing which in the opinion of the Fund Manager and of Unit Holders holding a simple majority of Units outstanding is calculated to bring the Fund into disrepute or be harmful to the best interests of the Unit Holders or is a breach of the Trustee' fiduciary duties to the Fund. PROVIDED that the Fund Manager shall have previously notified the Trustee by one month notice in writing of the grounds of removal and given the Trustee the opportunity within such period to answer to such grounds.

37.3 Upon the removal or retirement of the Trustee, the Fund Manager shall by writing under its seal and subject to the approval of the Commission appoint some other qualified company to be the Trustee and such company shall enter such Deed or Supplemental Deeds as the Fund Manager deems necessary or desirable to be entered by such corporation in order to secure the due performance of its duties as Trustee.

37.4 The Trustee shall subsequent to its removal or retirement, submit a report to the Commission within fourteen (14) days stating:

37.4.1 whether any irregularity has taken or is taking place in the conduct of the affairs of the Trust which has caused a financial loss to the Unit Holders;

37.4.2 particulars of any such irregularity; and

37.4.3 the reason, if known, for the termination of its appointment.

38. APPOINTMENT, REMOVAL AND RETIREMENT OF AUDITORS

38.1 The Auditors to the Fund shall be PKF Professional Services or such other firm of auditors as may be appointed from time to time by the Fund Manager with the approval of the Trustee or by Special Resolution passed at a meeting of Unit Holders held in accordance with the provisions of the First Schedule to this Deed. Any Auditor appointed by the Fund Manager shall be a person or company who is qualified for appointment as an Auditor of a company under section 358 of CAMA and registered by the Commission.

38.2 The Fund Manager shall within thirty (30) days from the date of the appointment of an Auditor apply to the Commission for the approval of such appointment.

38.3 Any Auditor appointed may be removed if the Fund Manager with the approval of the Trustee decides to do so by giving seven (7) days' notice thereof to the Auditor.

38.4 The Fund Manager shall accordingly inform the Commission upon such removal of the Auditor as required under section 184 of the ISA.

38.5 Subject to a variation and with the approval of the Commission, the remuneration of the Auditor shall be fixed by the Fund Manager with the consent of the Trustee. The Fund Manager shall have the right to fix the remuneration of any subsequent auditor appointed under this Trust Deed subject to the approval of the Commission.

38.6 An Auditor of the Fund may resign his office by serving one month notice in writing to that effect at the registered office of the Trustee and Fund Manager and any such notice shall be deemed to have been received on the date it was so served or on such later date as may be specified therein.

38.7 An Auditor's notice of resignation shall not be effective unless it contains either:

38.7.1 a statement to the effect that there are no circumstances connected with his resignation which he considers should be brought to the notice of the Unit Holders; or

38.7.2 a statement setting out circumstances connected with his resignation which he considers should be brought to the notice of the Unit Holders.

38.8 If any question shall arise as to whether any money or property or rights constitutes or constitute income of the Fund, such question shall be determined by the Auditors.

39. AUDITING OF ACCOUNTS

39.1 The Fund Manager shall not later than sixty (60) days from the end of each Financial Year, cause to be audited and certified by the Auditors, the accounts relating to the affairs of the Fund for the Financial Year.

39.2 The results of the audit together with any other accounts relating to the Trust including accounts of the Fund Manager in relation to the Trust and statements of remuneration in connection therewith shall be circulated by the Fund Manager to the Unit Holders annually.

39.3 Copies of the audited accounts shall be sent by the Fund Manager to the Commission for approval within three (3) months following the period to which the accounts relate.

40. ADMINISTRATION OF THE TRUST

40.1 The Fund Manager shall ensure that the Custodian shall make payment out of the Fund of all expenses incurred or to be met from time to time in connection with the management or trusteeship of the Trust including but not limited to:-

40.1.1 the management fee;

40.1.2 the Offer expenses;

40.1.3 the Trustee's fees and expenses;

40.1.4 the Custodian's fees and expenses; and

40.1.5 all such other reasonable expenses as are incurred or to be incurred by or on behalf of the Fund.

40.2 All or any of such expenses shall be payable out of the Fund and the Fund Manager shall where it deems it necessary make provision therefore by depositing and keeping deposited in the name of the Trustee/Fund and under the control of the Custodian in an account (in this Deed referred to as FBN Trustees/PACAM Balanced Fund Cash Account) of such amount as shall in the opinion of the Trustee in consultation with the Manager be from time to time adequate (having regard to any other provisions which may from time to time be made for securing the same) out of the capital and income thereof and to provide for all such expenses during the continuance of the Trust.

40.3 The FBN Trustees/PACAM Balanced Fund Cash Account shall be held by the Custodian in agreement with the Fund Manager upon trust out of the capital and income of the Trust to pay all such expenses if and so far as the same are not duly paid or provided by the Manager.

40.4 If at any time owing to the growth of the Fund or for any other reason the Custodian shall form the opinion and shall notify the Fund Manager that the FBN Trustees/PACAM Balanced Fund Cash Account for the time being is not adequate as aforesaid, then the Fund Manager shall forthwith deposit with the Custodian by way of addition to the Administrative Fund such amount as shall in the opinion of the Custodian and the Fund Manager be required to render the same adequate.

40.5 Subject as aforesaid, the FBN Trustees/PACAM Balanced Fund Cash Account shall be in the name of the Trustee/Fund and held by the Custodian upon and subject to such trusts and provisions (including provisions as to the manner of investment thereof and for periodical and other payments to be made thereat to the Fund Manager) as may be agreed between the Custodian and the Fund Manager.

In consideration of the foregoing, neither the Custodian nor the Fund Manager shall except with the approval of the Commission make any further charge against the Unit Holders or against the Fund or against any distribution for their services or for their normal expenses hereunder with the exception of the Charges or fees authorized by this Deed.

41. TERMINATION OF THE TRUST

41.1 The Trustee or Fund Manager may agree to terminate the Trust by issuing no less than six (6) months' notice thereof in writing to the other party as well as to the Unit Holders and the Commission.

41.2 The Trust may be terminated upon no less than six (6) months' notice by the Trustee in writing to the Fund Manager, Unit Holders and with the approval of the Commission in any of the following events:

41.2.1 if the Fund Manager shall go into liquidation (except for a voluntary liquidation for the purpose of reconstruction or amalgamation upon terms previously approved in writing by the Trustee) and no new fund manager is appointed to replace the Fund Manager or if a receiver is appointed over any of its assets or if it shall cease to carry on business; or

41.2.2 if in the opinion of the Trustee, the Fund Manager shall be incapable of performing or shall in fact fail to perform its duties satisfactorily or shall do any other thing which in the opinion of the Trustee is calculated to bring the Trust into disrepute or to be harmful to the best interests of the Unit Holders and no new fund manager is appointed to replace the Fund Manager; or

41.2.3 if the Trust becomes illegal or in the opinion of the Trustee impracticable or inadvisable to continue the Trust; or

41.2.4 if the Fund's investment objectives are no longer feasible or if the Commission revokes the authorisation of the Fund; or

41.2.5 upon the enactment of any legislation, the formulation of any regulation or the granting of any court order that makes the continuity of the existence of the Fund impracticable.

41.3 The Trust may at any time be terminated by a Special Resolution of a Meeting of the Unit Holders duly convened and held in accordance with the provisions herein contained regarding meetings and such termination shall take effect not less than six (6) months from the date on which the said Special Resolution is passed or on such later date (if any) as the said Special Resolution may provide.

41.4 The Trust may be terminated by the Commission where any of the activities of the Trust is outside the ambit of permissible activities as provided for by the Act or any relevant regulations enacted thereunder and/or any other applicable laws, or where the Commission's approval is withdrawn.

42. FORCE MAJEURE

No failure or omission to carry out or observe any of the terms, provisions or conditions of this Trust Deed shall give rise to any claim by a Party hereto against the other Party hereto, or be deemed to be a breach of this Trust Deed to the extent that such failure or omission shall be caused by or shall arise out of any event or circumstance or combination of events or circumstances beyond the reasonable control of a Party that materially and adversely affects the ability of that Party to perform its obligations under or pursuant to this Trust Deed ("Force Majeure"). Without prejudice to the generality of the foregoing, Force Majeure shall include but not be limited to strikes, civil unrest, acts of God, war, invasion by foreign enemy, revolution, act of terrorism, and industrial unrest.

43. PROCEDURE AFTER TERMINATION OF THE TRUST

Subject to compliance with Rule 453 of the SEC Rules, upon the Trust being terminated:

43.1 the Fund Manager shall procure the sale of all investments remaining in its hands as part of the Fund Property and pay therefrom all liabilities of the Fund properly payable. Such sale shall be carried out in such manner and within such period after the termination of the Trust as the Fund Manager thinks advisable; and

43.2 the Trustee shall distribute or procure the distribution to the Unit Holders in proportion to their Units all net cash proceeds derived from the realisation of the Fund Property and available for the purpose of such distribution. Every such distribution shall be made on condition of lodging such form of request for payment and receipt that the Trustee may in its absolute discretion require PROVIDED THAT the Trustee shall be entitled to retain out of any monies in its hands as part of the Fund Property a provision for all costs, charges, expenses, claims and demands incurred made or apprehended by the Trustee in

connection with or arising out of the termination of this Trust and out of the monies so retained to be indemnified and saved harmless against any such costs, charges, expenses, claims and demands.

44. MEETINGS

44.1 The Fund Manager shall, with the consent of the Trustee, call Meetings from time to time to consider the accounts and other matters affecting the Fund.

44.2 The provisions of the First Schedule hereof shall have effect as if the same were included herein and shall apply to Meetings of the Fund in so far as that Schedule does not conflict with any applicable law.

45. INVESTMENT COMMITTEE

The Fund shall have an Investment Committee. The Investment Committee shall consist of not less than three (3) persons, at least one of whom shall be the representative of the Trustee. At least one (1) person on the Investment Committee shall be an independent member with no affiliation to either the Trustee or the Fund Manager. The other members of the Investment Committee are to be nominated by the Fund Manager and approved by the Trustee. The Fund Manager shall from time to time consult with the Investment Committee on its decisions to purchase, sell or alter any investment made by it under this Trust Deed.

46. CIRCULARS AND ADVERTISEMENTS

46.1 No advertisement, circular or other document of that nature containing any statement with reference to the Net Asset Value, the pricing of any Units or any invitation to buy Units shall be issued by or on behalf of the Fund Manager unless such documents also contain a statement with respect to the yield from the Unit and are approved by both the Trustee and the Commission.

46.2 No advertisement, circular or other document of that nature containing any statement with respect to the issue price of Units or the payments or other benefits received or likely to be received by Unit Holders or containing any invitation to buy Units shall be issued by or on behalf of the Fund Manager until the Trustee has had a reasonable opportunity to consider the terms of the document. No such document shall be issued if within ten (10) days after the document first comes under the Trustee's consideration, the Trustee in writing notifies the Fund Manager of its disapproval of the terms thereof.

46.3 In all letters circulars advertisements or other publications referring to the issue or sale of Units reference shall be made to the Trustee only in terms previously consented to by the Trustee and the Commission.

47. NOTICES

47.1 All notices or other documents directed to be given or sent by the Trustee or the Fund Manager to a Unit Holder shall (unless the Trustee or the Fund Manager otherwise directs in writing) be sent by electronic mail or courier to him at his address as appearing in the Register. Any notice so sent shall be deemed to have been received by the Unit Holder on the same day as shown on the notice if sent by electronic mail or on the third (3rd) day following the day on which the notice was sent by post or courier.

47.2 A notice required to be given to the Trustee or the Fund Manager shall be sent to the registered office of the Trustee or the Fund Manager as the case may be.

48. PAYMENTS

48.1 Any monies payable by the Trustee or by the Fund Manager to a Unit Holder or former Unit Holder under the provisions of this Trust Deed may be paid by electronic transfer(s) to the nominated account of such Unit Holder and in case of a Joint Holder, it should be paid to the nominated account of the first Joint Holder appearing in the Register of Unit Holders where a joint nominated account is not provided. Electronic transfer(s) shall be satisfaction of the monies payable thereby and shall be a good discharge of the Trustee and Fund Manager. Where an authority in writing in that behalf shall have been received by the Trustee or Fund Manager from the Unit Holder or former Unit Holder in such form and signed or sealed in such manner as the Trustee or Fund Manager may direct the Trustee, Fund Manager or Registrar shall pay the moneys payable to the Unit Holder as the case may be in the same manner and with the same effect as herein before provided as if such banker agent or nominee were the Unit Holder, and payment received according to the terms of such authority shall be a sufficient discharge to the Trustee, Fund Manager or Registrar as the case may be.

48.2 Without prejudice to the application of sub-clause 48.1 above, a receipt signed or purported to be signed by the Unit Holder or former Unit Holder for any moneys payable in respect of Units held or formerly held by him shall be a good discharge of the Trustee and Fund Manager and if several persons are registered as Joint Holders or in consequence of the death of a Holder are entitled so to be registered any one of them may give an effectual receipt for any moneys.

49. COPIES OF TRUST DEED TO BE MADE AVAILABLE

49.1 A copy of this Trust Deed and of any Deed supplemental hereto shall at all times during usual business hours be made available by the Fund Manager and the Trustee at their respective head offices for inspection by Unit Holders and any Unit Holder shall be entitled to receive from the Fund Manager a copy of such Deed(s) as aforesaid on production of his Fund Statement(s) and making payment to the Fund Manager of the prescribed amount for each copy of the document.

49.2 The Trust Deed shall be executed in three (3) originals and each of the Trustee and the Fund Manager shall keep one original each of the Trust Deed. The third copy is to be filed at the Commission.

50. RECONSTRUCTION AND AMALGAMATION

50.1 The Trust may be reconstructed or amalgamated with other Unit Trust Schemes upon all of the following conditions being satisfied:

50.1.1 the Fund Manager has agreed with the Trustee of some other trust the terms and conditions of a scheme of reconstruction and amalgamation;

50.1.2 the Trustee has not dissented from the proposed reconstruction or amalgamation; and

50.1.3 the Unit Holders have been informed of the particulars of the proposed reconstruction or amalgamation in a manner approved by the Trustee and a Special Resolution has been passed at a Meeting of the Unit Holders approving such proposed reconstruction or amalgamation.

50.2 If such conditions have been fulfilled, the proposed reconstruction or amalgamation shall take effect upon the date on which such conditions are satisfied or such later date as the Trust may provide whereupon the terms of the Trust shall be binding upon all the Unit Holders who shall be bound to give effect thereto accordingly and the Fund Manager and the Trustee shall do all such acts and things as may be necessary or requisite for the implementation thereof.

51. POWER OF MODIFICATION BY SUPPLEMENTAL DEED

51.1 The Trustee and Fund Manager shall be entitled by deed supplemental hereto to consolidate, modify, alter or add to the provisions of this Trust Deed in such manner and to such extent as they may consider necessary or expedient having regard to any issues that they may

consider relevant PROVIDED THAT the Trustee shall certify in writing that in its opinion such consolidation, modification, alteration or addition does not prejudice the interests of the Unit Holders.

51.2 No such consolidation, modification, alteration or addition shall be made without the sanction of a Special Resolution passed at a Meeting of Unit Holders duly convened and held. No such consolidation, modification, alteration or addition shall impose any further payment on the Unit Holders in respect of his Units or any liability in respect thereof.

PROVIDED ALWAYS that notwithstanding sub-clauses 51.1 and 51.2 above the Fund Manager and the Trustee shall seek the approval of the Commission for any proposed modification to the Trust Deed by service of notice on the Commission. Such proposed change shall not be given effect until the proposed change has been approved by the Commission or one month has passed since notice was served on the Commission without the Commission having notified the Fund Manager or Trustee that the proposed change is not approved.

52. GOVERNING LAW

This Trust Deed shall be governed and construed in all respects by the laws of the Federal Republic of Nigeria.

53. DISPUTES

53.1 In the event of any dispute arising out of or under this Trust Deed, the parties shall within five (5) Business Days from the date the dispute arose, notify the Commission of the existence of the dispute.

53.2 The parties may within ten (10) Business Days from the date the Commission was notified, resolve the dispute by mutual negotiation or appoint arbitrators who shall also have a maximum period of ten (10) Business Days to resolve the dispute after the exchange of pleadings by the parties. In the event that the parties or the arbitrators are unable to settle the dispute, the matter shall be referred to the Commission for resolution.

53.3 A party may refer the matter to the Investment and Securities Tribunal in accordance with section 284 of the ISA if he is not satisfied with the decision of the Commission.

54. COMPLIANCE

The Trustee shall at all times in the course of administration of this Trust comply and also endeavour to ensure compliance by the Fund Manager with

the provisions of the ISA, SEC Rules and Regulations made thereunder. The Trustee shall submit to SEC, quarterly reports pertaining to the due administration of the Trust. The Fund Manager shall submit all statutory reports to SEC relating to the management of the Fund.

55. MISCELLANEOUS

55.1 This Deed may be executed in counterparts, all of which taken together will constitute one document and any of the parties may execute this Deed by signing the counterparts.

55.2 Without prejudice to other provisions contained herein, if any provision of this Deed is prohibited or unenforceable or rendered unenforceable, unlawful or illegal, such illegality, unenforceability, prohibition shall not to the extent permitted by law render the other provisions of this Deed unlawful, illegal or prohibited.

56. BREACH OF THE TERMS OF THE TRUST DEED

In the event of a breach of any of the terms of this Trust Deed by the Fund Manager, the Trustee shall within seven (7) days of the default take action to remedy the said default in accordance with the provisions of this Deed and shall notify SEC of the said breach no later than ten (10) Business days after the occurrence of the breach.

FIRST SCHEDULE

Rules for Meetings of Unit Holders

1. The Fund shall as the need arises, convene Meetings. The Fund Manager shall, in the notice convening such meeting, state the business to be transacted at the Meeting.

2. The Trustee or the Fund Manager with the consent of the Trustee shall at the request in writing of Unit Holders holding not less than twenty five *per cent* (25%) in value of the Units for the time being outstanding (other than Units of which the Fund Manager is beneficial owner) convene a meeting of Unit Holders.

3. **Notice of Meetings**

   3.1 The notice required for all Meetings of the Fund shall from the commencement of this Trust Deed be twenty-one (21) days from the date on which the notice was sent out exclusive of the date of service and the date of the Meeting.

   3.2 A meeting of the Fund shall, notwithstanding that it is called by a shorter notice than that specified in sub-clause 3.1 of this section be deemed to have been duly called if it is so agreed by Unit Holders representing not less than ninety-five *per cent* (95%) in nominal value of the Units.

   3.3 A Meeting of the Unit Holders may be convened:

      3.3.1 by the Fund Manager with the consent of the Trustee;

      3.3.2 at the request of the Trustee; or

      3.3.3 by a requisition of Unit Holders holding twenty five *per cent* (25%) of the Units; or

      3.3.4 by the Court on application by a Unit Holder where the Court is satisfied that it is just and equitable to do so.

4. **Contents of Notice**

   4.1 The notice of a Meeting shall specify the place, date and time of the Meeting and the general nature of the business to be transacted thereat in sufficient detail to enable those to whom it is given to decide whether to attend or not and where the Meeting is to consider a Special Resolution the notice shall set out the terms of the proposed Special Resolution.

4.2 No business may be transacted at any Meeting unless notice of it has been duly given.

4.3 In every case in which a Unit Holder is entitled to appoint a proxy to attend and vote instead of him the notice shall contain with reasonable prominence a statement that the Unit Holder has the right to appoint a proxy to attend instead of him and that the proxy need not be a Unit Holder of the Fund.

4.4 An error or omission in a notice with respect to the place, date, time or general nature of the business of a Meeting shall not invalidate the Meeting unless persons responsible for the error or omission acted in bad faith or failed to exercise due care and diligence provided that in such a case the person or persons responsible shall effect the necessary correction either before or during the Meeting.

5. **Persons Entitled to Notice**

Only the following persons shall be entitled to receive notice of a Meeting:

5.1 every Unit Holder;

5.2 every person upon whom the ownership of a Unit devolves by reason of his being a legal representative, receiver, a trustee-in-bankruptcy or a trustee-in-lunacy of a Unit Holder;

5.3 the Auditor;

5.4 the Trustee or the Fund Manager if the meeting is called by the Trustee; and

5.5 the Commission.

PROVIDED THAT none of the persons mentioned in clauses 5.3, 5.4 and 5.5 above shall be entitled to vote at any Meeting at which they are in attendance except in their capacity as Unit Holder.

6. **Service of Notice**

6.1 Notice may be served by the Fund Manager on any Unit Holder either personally or by electronic mail or courier to the Unit Holder at his registered address or (if he has no registered address within Nigeria) to the address if any supplied by the Unit Holder to the Fund for the receipt of mail and notices.

6.2 Where a notice is sent by electronic mail it shall be deemed effective on the date shown in the letter and where it is sent by courier it shall

be deemed effective within three (3) days of the date shown on the letter.

6.3 Notice may be served by the Fund Manager on the persons entitled to a Unit in consequence of the death or bankruptcy or lunacy of a Unit Holder by sending it to the person who has become so entitled in his name or by the title of representative of the deceased's estate or trustee in bankruptcy or lunatic or to any address within Nigeria supplied for the purpose by the person claiming to be so entitled or (until such an address has been so supplied) by giving the notice in any manner in which the same might have been given if the death or bankruptcy had not occurred.

7. **Failure to Give Notice**

7.1 Failure to give notice of any Meeting to a person entitled to it shall not invalidate the Meeting where such failure is an accidental omission on the part of the person or persons giving the notice.

7.2 Failure to give notice to a person entitled due to a misrepresentation or misinterpretation of the provisions of this Trust Deed shall not amount to an accidental omission for the purposes of the foregoing sub-clause.

8. **Power of Court to Order Meetings**

8.1 If for any reason it is impracticable to call a Meeting of the Fund in any manner in which Meetings of this Fund may be called or to conduct the Meetings of the Fund in the manner prescribed by this Trust Deed the Court may either of its own motion or on the application of any Unit Holder who would be entitled to vote at the Meeting of the Fund to be called order that the Meeting be held in such manner as the Court thinks fit and where any such order is made may give such ancillary or consequential directions as it thinks expedient.

8.2 It is hereby declared that the direction that may be given under sub-clause 8.1 of this section shall include a direction that one Unit Holder present in person or by proxy in the Meeting may apply to the Court for an order to take a decision which shall bind all the Unit Holders.

8.3 Any Meeting called, held and conducted in accordance with an order issued under sub-clause 8.1 of this section shall for all purposes be deemed to be a Meeting of the Fund duly called held and conducted.

9. **Procedure of Voting**

9.1 At any Meeting a resolution put to vote shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show of hands) demanded by any of the following:

9.1.1 the Chairman; or

9.1.2 a group of at least three (3) Unit Holders present in person or by proxy; or

9.1.3 any Unit Holder or Unit Holders present in person or by proxy and representing not less than one-tenth of the total voting rights of all the Unit Holders having the right to vote at the Meeting.

9.2 Unless a poll is so demanded a declaration by the Chairman that a resolution has on a show of hands been carried or carried unanimously or by a particular majority or defeated and an entry to that effect in the book containing the minutes of the proceedings of the Meeting shall be conclusive evidence of the fact.

10. **Voting on a Poll**

10.1 Each Unit entitles the Unit Holder to one vote on a poll taken at a Meeting in respect of each of those Units held by him. A Unit Holder entitled to more than one vote need not if he votes use all his votes or cast all the votes he uses in the same way.

10.2 Except as provided in sub-clause 10.4 of this section a poll if demanded and taken shall be deemed to be the resolution of the Meeting at which the poll was demanded.

10.3 In the case of an equality of votes whether on a show of hands or on a poll the Chairman of the Meeting at which the show of hands takes place or at which the poll is demanded shall be entitled to a second or casting vote.

10.4 A poll demanded on the election of a Chairman or on a question of adjournment shall be taken forthwith and on any other question shall be taken at such time as the Chairman of the Meeting directs and any business other than that upon which a poll has been demanded may be proceeded with pending the taking of the poll.

11. Rights of Attendance at Meetings

11.1 Every Unit Holder or his legal representative has the right to attend any Meeting of the Fund and to speak and vote on any resolution.

11.2 Every person who is entitled to receive notice of a Meeting of the Fund shall be entitled to attend such a Meeting.

12. Proxies

12.1 Any Unit Holder entitled to attend and vote at a Meeting of the Fund shall be entitled to appoint another person as his proxy (whether a Unit Holder or not) to attend and vote instead of him and a proxy so appointed to attend and vote instead of a Unit Holder shall also have the same right as the Unit Holder to speak at the Meeting.

12.2 In every notice calling a Meeting of the Fund there shall appear with reasonable prominence a statement that a Unit Holder is entitled to appoint a proxy to attend and vote instead of him and that proxy need not be a Unit Holder.

12.3 A vote given in accordance with the terms of an instrument of proxy shall be valid notwithstanding the previous death or insanity of the principal or revocation of the proxy or of the authority under which the proxy was executed or the transfer of the Unit in respect of which the proxy is given PROVIDED THAT no intimation in writing of such death insanity revocation or transfer as aforesaid has been received by the Fund Manager before the commencement of the Meeting or adjourned Meeting at which the proxy is used.

12.4 The instrument appointing a proxy shall be in writing under the hand of the appointor or his attorney duly authorised in writing or if the appointor is a corporation either under seal or under the hand of an officer or attorney duly authorised.

12.5 The instrument appointing a proxy and the power of attorney or other authority if any under which it is signed or a certified copy of the power or authority shall be deposited at the registered office or head office of the Fund Manager or at such other place within Nigeria as is specified for that purpose in the notice convening the Meeting, not less than forty-eight (48) hours before the time which the person named in the instrument proposes to vote or in the case of a poll not less than twenty-four (24) hours before the time appointed for the taking of the poll and in default, the instrument of proxy shall not be treated as valid.

12.6 An instrument of proxy shall be in such form as may be approved by the Trustee.

13. **Corporate Representation**

Any corporation which is a Unit Holder may by writing under the hand of a duly authorised officer authorise such person as it thinks fit to act as its representative at any Meeting of the Unit Holders and the person so authorised shall be entitled to exercise the same power on behalf of the corporation which he represents as that corporation could exercise if it were an individual Unit Holder.

14. **Quorum**

14.1 It shall be deemed that no business shall have been transacted at any Meeting unless a quorum of Unit Holders was present at the commencement and throughout the Meeting.

14.2 The quorum for a Meeting of the Fund shall be formed by at least five (5) Unit Holders of not less than one-fourth (1/4th) or twenty five *per cent* (25%) of Units whether present in person or by proxy. PROVIDED THAT where the number of Units is not a multiple of five then the number nearest to one-fourth (1/4th) or twenty five *per cent* (25%) shall form a quorum.

14.3 For the purpose of determining a quorum, all Unit Holders or their proxies shall be counted.

15. **Adjournment and Other Matters Relating to Meetings and Proceedings**

15.1 The Chairman may with the consent of any Meeting at which a quorum is present (and shall if so directed by the Meeting) adjourn the Meeting from time to time and from place to place but no business shall be transacted at any adjourned Meeting other than the business left unfinished at the Meeting from which the adjournment took place.

15.2 When a Meeting is adjourned for thirty (30) days or more, notice of the adjourned Meeting shall be given as in the case of an original Meeting; otherwise it shall not be necessary to give any notice of an adjournment or of the business to be transacted at an adjourned Meeting.

15.3 If within one (1) hour from the time appointed for the Meeting a quorum is not present the Meeting if convened upon the requisition of Unit Holders shall be dissolved, but in any other case it shall stand adjourned to the same day in the next week at the same time and place or to such other day and at such other time and place as the Chairman and in his absence, the Trustee may direct.

15.4 If a Meeting stands adjourned under sub-clause 15.3 above, any two or more Unit Holders present at the place and time to which it so stands adjourned shall form a quorum and their decision shall bind all Unit Holders and where only one Unit Holder is present, he may seek the direction of the Court to take a decision.

16. Powers and Duties of the Chairman of the Meeting

16.1 The Trustee or any person so authorised by it shall preside as Chairman at every Meeting or if there is no such Chairman or if he is not present within one (1) hour after the time appointed for the holding of the Meeting or is unwilling to act, the Unit Holders shall appoint one of themselves as Chairman.

16.2 The duties and powers of the Chairman shall include to:

16.2.1 preserve order and the power to take such measures as are reasonably necessary to do so;

16.2.2 see that the proceedings are conducted in a regular manner;

16.2.3 ensure that the true intention of the Meeting is carried out in resolving any issue that arises before it;

16.2.4 ensure that all questions that arise are promptly decided; and

16.2.5 act in the *bona fide* interest of the Fund.

17. Resolutions Binding

A resolution passed at a Meeting of the Unit Holders duly convened and held in accordance with this Trust Deed shall be binding upon all the Unit Holders whether present or not present at such Meetings and each Unit Holder shall be bound to give effect thereto accordingly and the passing of any such resolution shall be conclusive evidence that the circumstance justify the passing thereof the intention being that it shall rest with the Meeting to determine without appeal whether or not the circumstances justify the passing of such resolution.

18. Minutes of Proceedings and Effect

18.1 The Fund Manager shall cause minutes of all proceedings of Meetings of the Fund to be entered in the books kept for that purpose.

18.2 Any such minutes purported to be signed by the Chairman of the Meeting at which the proceedings were held or by the Chairman of the

next succeeding Meeting shall be prima facie evidence of the proceedings.

18.3 Where minutes have been made of the proceedings at any Meeting of the Fund in accordance with the provisions of this clause then until the contrary is proved the Meeting shall be deemed to have been duly held and convened and all proceedings held at the Meeting to have been duly held.

19. **Inspection of Minutes Book and Copies**

19.1 The book containing the minutes of proceedings of any Meeting of the Fund held shall be kept at the registered office of the Fund Manager and shall during business hours be open to inspection by Unit Holders without charge.

19.2 A Unit Holder shall be entitled to be furnished within seven (7) days after receipt of his request in that behalf to the Fund Manager with a copy of any such minutes duly certified at a charge to be fixed by the Trustee.

THE SECOND SCHEDULE

Form of Fund Statement

THE PACAM BALANCED FUND
(Authorised and Registered as a Unit Trust Scheme)

STATEMENTOF UNIT HOLDING

Name of Unit Holder
Address of Unit Holder

Date	Allotment (Units)	Redemption (Units)	Total (Units)

This Statement has been issued to the above-named Unit Holder by Meristem Registrars Limited and evidences ownership of the Units held in the PACAM BALANCED FUND constituted by a Trust Deed dated _____. This Statement does not require a signature and remains valid unless altered. Any alteration to this Statement must be duly initialed by, or on behalf of, the Registrar.

This Statement must be surrendered for purposes of redemption from the Fund or before any transfer of the whole or any part of the Units comprised herein can be registered.

All enquiries in respect of this Statement of Unit Holding or any other matters relating to this Unit Holding must be directed to the Fund's Registrar: Meristem Registrars Limited of 231, Herbert Macaulay Way, Adekunle, Yaba, Lagos.

THE THIRD SCHEDULE

Form of Redemption Notice

THE PACAM BALANCED FUND
(Registered and Authorised as a Unit Trust Scheme)

Trustee: **FBN Trustees Limited**

Fund Manager: **PAC Asset Management Limited**

Registrar: **Meristem Registrars Limited**

I/We hereby give notice of my/our intention to redeem _____ Units in the PACAM Balanced Fund as stated in the attached Fund Statement [and represented by Statement Nos. _____]* dated the day of , 201 . The said Units are currently registered in the name of . Furthermore, I/we consent to the transfer of the Units to the Fund Manager, with effect from the date stated below and request that the proceeds of the redemption of the Units be paid as follows (please tick as appropriate):

(1) Bank Credit:

Name of Bank:
Branch/Address of Bank:
Account Number:

(2) Cheque:

Address of Unit Holder:

Dated the _____ day of _____ 201__

Name of Unit Holder:

Signature:
Address:

*This is only applicable if a Fund Statement was issued.

THE FOURTH SCHEDULE

Transfer Form

THE PACAM BALANCED FUND
(Registered and Authorised as a Unit Trust Scheme)

Trustee: **FBN Trustees Limited**

Fund Manager: **PAC Asset Management Limited**

I/We hereby transfer the Units described herein out of the name(s) of the registered Unit Holders named herein into the names of the Transferee(s) named herein. I/We request that such entries be made in the Register of the Fund as may be necessary to give effect to this transfer.

The Units

Number of Units in Words	Number of Units in Figures	Reference/Account Number

The Registered Unit Holders

Names	Addresses

The Transferor (if Different from the Registered Unit Holders)

Name(s) and Capacity	Addresses

The Transferees

Names	Addresses

DATED this _____ day of _____ 201__

Signatures of Transferors

1. 3.

2. 4.

Signatures of Transferees

2. 3.

3. 4.

THE FIFTH SCHEDULE

The Register

1. The person as may from time to time be appointed to keep the Register on behalf of the Trustee, (hereinafter referred to as "the Registrar") shall act as registrar to the Fund and as such, shall keep the Register in all respects in accordance with the requirements of the said Trust Deed.

2. The Registrar shall maintain and conduct the Register in such form and manner as the Trustee may from time to time direct and shall permit no alteration in the form of the Register or its conduct without the consent in writing of the Trustee, which consent the Trustee shall be entitled to give or to withhold at its discretion.

3. The Registrar shall promptly comply with all requirements which may be notified to it from time to time by the Trustee as to the form and conduct of the Register.

4. The Registrar shall at all times, at the request of the Trustee, supply to the Trustee all such information and explanations in relation to the Register and the conduct thereof as the Trustee may require.

5. The Registrar shall permit the Trustee or any person representing them to have access at all times to the Register and to all subsidiary records and all documents, orders, transfers, cancelled Fund Statements or other papers relating to the conduct of the Register.

6. The Trustee, their authorised officials or any person representing them shall be entitled to attend at the Registrar's premises, at any time with or without previous notice, to inspect any documents the Trustee may wish to have inspected and to carry out such checks as may seem to the Trustee to be necessary.

7. At the option of the Trustee the Registrar shall take out and maintain in full force and effect at his own expense an insurance policy in favour of the Trustee. Such policy shall be with an insurance company and in a form approved by the Trustee and shall provide the same with cover against all loss or damage suffered by the Trustee arising from any misconduct, mistake, oversight, error of judgment, forgetfulness or want of prudence, fraud, or negligence of the Registrar and of his employees; or alternatively to keep the Trustee fully indemnified in such form and subject to such guarantees as the Trustee may require in respect of the matters set out in this paragraph.

THE SIXTH SCHEDULE

The Bid Price

The Bid price of the units in the PACAM Balanced Fund shall be based on the net asset value of the Fund calculated on a weekly basis by the Fund Manager as follows:

1. Total market value of securities based on Exchange daily of'icial list as at date of valuation (Highest Market Bid Price)

   Add

2. Uninvested cash
3. Undistributed income to date less expenses
4. Total value of money market instruments, real estate investments and bond investments

   Less

5. Stamp Duties
6. Brokerage Fee
7. SEC/NSE/CSCS Fees

$$\text{Value per unit} = \frac{1 + (2\text{-}4) \text{ minus } (5\text{-}7)}{\text{Total No of units}}$$

THE SEVENTH SCHEDULE

The Offer Price

The offer price of the units in the PACAM Balanced Fund shall be based on the net asset value of the Fund calculated on a weekly basis by the Fund Manager as follows:

Offer price:

1. Total market value of securities based on the Exchange of daily official list at the date of valuation (lowest Market Offer Price)

Add

2. Stamp Duties
3. Brokerage Fee
4. SEC/NSE/CSCS Fee
5. Uninvested cash
6. Undistributed income to date less expenses
7. Total value of money market, real estate and bond investments

$$\textbf{Value per unit} = \frac{\text{Summation of (1-7)}}{\textbf{Total Number of Units on Sale}}$$

IN WITNESS WHEREOF these presents have been executed the day and year first above written in the manner hereinafter appearing.

THE COMMON SEAL of the within-named PAC Asset Management Limited was hereunto affixed in the presence of:

[NAME]
DIRECTOR

[NAME]
DIRECTOR/SECRETARY

THE COMMON SEAL of the within-named FBN Trustees Limited was hereunto affixed in the presence of:

[NAME] Adekunle Awojob
DIRECTOR

[NAME] Irene Otike-Odibi
DIRECTOR/SECRETARY

CERTIFY THAT THE FULL
STAMP DUTY HAS BEEN PAID
UPON THE ORIGINAL
INSTRUMENT OF WHICH THIS
IS THE DUPLICATE
COUNTERPART.

COMMISSIONER OF STAMP DUTIES

PAC Asset Management

SECURITIES & EXCHANGE COMMISSION
RECEIVED
22 FEB 2018
DIRECTOR GENERAL'S OFFICE

February 22, 2018

The Director General
Securities & Exchange Commission
SEC Towers
Plot 272, Samuel Adesuji Ademulegun Street
Central Business District
Abuja.

Dear Sir,

DRAFT SUPPLEMENTARY TRUST DEED FOR PACAM BALANCED FUND

The above subject matter refers.

Please find attached draft supplementary trust deed for PACAM Balanced Fund for your review and approval of the commission.

Thank you.

Yours Faithfully,
For: PAC Asset Management Limited

Austine Eguaoje
Compliance Officer

Mosope Agbebi
Operations Officer

THE TRUSTEE WILL BE LIABLE FOR BREACH OF ITS DUTIES WHERE IT FAILS TO CARRY OUT ITS RESPONSIBILITIES UNDER THE TRUST DEED OR REPORT BREACH OF THE TERMS OF THE TRUST DEED TO THE SECURITIES AND EXCHANGE COMMISSION

SUPPLEMENTAL TRUST DEED

PACAM BALANCED FUND

DATED THIS DAY OF 2018

BETWEEN

PAC ASSET MANAGEMENT LIMITED
RC 695281
(THE FUND MANAGER)

AND

FBNQUEST TRUSTEES LIMITED
RC 29763
(THE TRUSTEE)

THIS SUPPLEMENTAL TRUST DEED is made this day of 2017

BETWEEN

PAC ASSET MANAGEMENT LIMITED, a private limited company established under the law of the Federal Republic of Nigeria with RC 695281 and having its principal place of business at 8A Femi Pearce Street, Victoria Island, Lagos State (hereinafter referred to as the "**PACAM" or "the Fund Manager"** which expression shall where the context so admits include its Successors-in-title and assigns) of the one part

AND

FBNQUEST TRUSTEES LIMITED, a private limited company established under the law of the Federal Republic of Nigeria with RC 29763 and having its principal place of business at 10 Keffi Street off Awolowo Road Ikoyi, Lagos State (hereinafter referred to as "**the Trustee**" which expression shall where the context so admits include its Successors-in-title and assigns) of the other part

WHEREAS:

1. The PACAM Balanced Fund (hereinafter referred to as "the Fund") is an open ended Investment Scheme authorized and registered in Nigeria by the Securities and Exchange Commission (hereinafter referred to as "SEC") under the Investment and Securities Act (hereinafter referred to as "ISA") 2007.

2. This Deed is supplemental to the Original Trust Deed for the PACAM Balanced Fund (hereinafter referred to as "the Original Trust Deed") dated 27th day of January 2015.

3. Pursuant to **clause 51** of the Original Trust Deed, the Fund Manager is desirous of amending certain provisions of the Original Trust Deed and has sought and obtained the consent of the Trustee to the amendments .

4. By virtue of Clause 51.2 of the Original Trust Deed, the parties have obtained the prior approval of the Commission to effect the said amendment.

5. The Fund Manager and the Trustee are desirous of entering into this Supplemental Trust Deed in order to give effect to the said amendment.

6. At a duly convened and constituted Annual General Meeting of the Unit Holders of the Fund held on the ____ day of _____, 20__ and pursuant to Clause 51 of the Trust Deed, the Unit Holders passed a special resolution amending certain provisions of the Trust Deed and authorizing the execution of this Supplemental Trust Deed to reflect the amendments thereto.

NOW THIS SUPPLEMENTAL TRUST DEED WITNESSETH as follows:

1. **AMENDMENT OF CLAUSE 10.5 OF THE ORIGINAL TRUST DEED**

1.1 Clause 10.5 of the Original Trust Deed is amended to read as follows:

The asset Allocation Policy of the fund shall be as follows:

Asset Class	Allocation Range		Target Weight
	Lower Limit	Upper Limit	
Equities	20	40	30
Money Market	30	70	40
Bonds	10	40	20
Real Estate	0	25	10

2 **AMENDMENT OF CLAUSE 39.1**

By substituting 90 days for 60 days in Clause 39.1

3. **INCORPORATION OF THE ORIGINAL TRUST DEED**

Subject to the terms herein, all the provisions, terms and conditions contained in and subsisting under the Original Trust Deed shall remain valid and be deemed to have been incorporated into this Supplemental Trust Deed and shall apply mutatis mutandis to this Deed and be observed and performed by the parties hereto in the same manner as if they were set out herein in extenso.

IN WITNESS WHEREOF the parties hereto have hereunto caused their respective Common Seals to be affixed the day and year first above written.

THE COMMON SEAL of the within named Company, **PAC ASSET MANAGEMENT LIMITED** was hereunto affixed in the presence of

SINA ALIMI
DIRECTOR

CHRIS OSHIAFI
DIRECTOR

THE COMMON SEAL of the within named Trustees, **FBNQUEST TRUSTEES LIMITED** was hereunto affixed in the presence of

ADEKUNLE AWOJOBI
DIRECTOR

TOLULOPE ADETUGBO
DIRECTOR/SECRETARY